

An
Industry Oriented Mini Project Report
on
**REAL TIME BANK TRANSACTION FRAUD
DETECTION USING KAFKA & ML**

Submitted to CMR ENGINEERING COLLEGE

In Partial Fulfillment of the requirements for the Award of Degree of

**BACHELOR OF TECHNOLOGY
IN
COMPUTER SCIENCE AND ENGINEERING**

Submitted
by

K.USHARANI	(238R1A05U4)
S.SANJAY	(238R1A05X5)
K.SRIJA	(238R1A05V2)
CH.NANDA KUMAR	(238R1A05S5)

Under the Esteemed guidance of

Associate Professor, Department of CSE



Department of Computer Science & Engineering
CMR ENGINEERING COLLEGE
UGC AUTONOMOUS

(Approved by AICTE, NEW DELHI, Affiliated to JNTU, Hyderabad
Kandlakoya, Medchal Road, R.R. Dist. Hyderabad-501 401)

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CMR ENGINEERING COLLEGE

UGC AUTONOMOUS

(Accredited by NBA, Approved by AICTE NEW DELHI, Affiliated to JNTU, Hyderabad)

KandlaKoya, Medchal Road, Hyderabad-501 401

Department of Computer Science & Engineering



CERTIFICATE

This is to certify that the project entitled “**REAL TIME BANK TRANSACTION FRAUD DETECTION USING KAFKA & ML**” is a Bonafide work carried out by

K.USHARANI	(238R1A05U4)
S.SANJAY	(238R1A05X5)
K.SRIJA	(238R1A05V2)
CH.NANDA KUMAR	(238R1A05S5)

in partial fulfillment of the requirement for the award of the degree of **BACHELOR OF TECHNOLOGY** in **COMPUTER SCIENCE AND ENGINEERING** from CMR Engineering College, affiliated to JNTU, Hyderabad, under our guidance and supervision.

The results presented in this Industry Oriented Mini Project report have been verified and are found to be satisfactory. The results embodied in this Industry Oriented Mini Project report have not been submitted to any other university for the award of any other degree or diploma.

Internal Guide

Department of CSE
CMREC, Hyderabad

Mini Project Coordinator

Mr. S Kiran Kumar
Assistant Professor
Department of CSE
CMREC, Hyderabad

Head of the Department

Dr. Sheo Kumar
Professor
Department of CSE
CMREC, Hyderabad

External Examiner

DECLARATION

This is to certify that the work reported in the present Major project stage 1 entitled “**A Suggested Model for Making the Results of Online Exam More Reliable by Blockchain**” is a record of Bonafide work done by us in the Department of Computer Science and Engineering, CMR Engineering College, JNTU Hyderabad. The reports are based on the project work done entirely by us and not copied from any other source. We submit our project for further development by any interested students who share similar interests to improve the project in the future.

The results embodied in this Industry Oriented Mini Project report have not been submitted to any other University or Institute for the award of any degree or diploma to the best of our knowledge and belief.

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K.USHARANI	(238R1A05U4)
S.SANJAY	(238R1A05X5)
K.SRIJA	(238R1A05V2)
CH.NANDA KUMAR	(238R1A05S5)

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K.USHARANI	(238R1A05U4)
S.SANJAY	(238R1A05X5)
K.SRIJA	(238R1A05V2)
CH.NANDA KUMAR	(238R1A05S5)

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ABSTRACT

ABSTRACT

With the exponential growth in digital banking, online transactions have become an integral part of modern financial systems. However, this rapid digitalization also brings the growing threat of fraudulent activities, causing severe financial losses and damaging customer trust. Traditional fraud detection systems are often slow, reactive, and incapable of handling large volumes of real-time data. This project proposes a **real-time fraud detection system** using **Apache Kafka** for real-time data streaming and **Machine Learning (ML)** algorithms for intelligent pattern recognition. By integrating Kafka's distributed messaging framework with ML models trained on historical transaction data, the system aims to detect anomalies in transaction behavior as they occur. This setup provides a scalable, fault-tolerant, and efficient mechanism to detect and respond to fraud in real-time, enhancing security and user trust in digital banking services.

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CHAPTER 1

INTRODUCTION

1.1 INTRODUCTION:

In today's fast-paced digital banking environment, the volume of financial transactions has surged exponentially, bringing with it a parallel increase in fraudulent activities. Fraudulent transactions pose serious threats to financial institutions, leading to significant monetary losses, reputational damage, and erosion of customer trust. Traditional fraud detection systems, which often rely on batch processing and manual reviews, struggle to keep pace with the dynamic and sophisticated nature of modern fraud schemes.

To effectively combat these challenges, there is an urgent need for real-time fraud detection systems capable of processing vast streams of transaction data instantaneously. Real-time analysis enables early identification of suspicious activities, allowing banks to take immediate action to prevent losses. However, developing such systems requires handling high-throughput data streams efficiently while maintaining accuracy and low latency.

Apache Kafka, a distributed event streaming platform, provides a scalable and fault-tolerant infrastructure for processing real-time data streams. Its ability to handle millions of events per second makes it an ideal choice for ingesting and distributing live bank transaction data. When integrated with advanced machine learning algorithms, Kafka facilitates the development of intelligent systems that can classify transactions as legitimate or fraudulent in real time.

Machine learning models analyze transaction patterns and user behaviors to detect anomalies that indicate potential fraud. By continuously learning from new data, these models adapt to evolving fraud tactics and improve detection performance over time. Combining Kafka's streaming capabilities with machine learning thus creates a powerful framework for proactive fraud prevention.

This project focuses on designing and implementing a real-time bank transaction fraud detection system using Kafka and machine learning. The system aims to deliver accurate, timely detection of fraudulent transactions, ensuring enhanced security and trust in banking operations.

1.2 OBJECTIVES OF THE PROJECT

1. To develop a real-time fraud detection system that can identify fraudulent bank transactions instantly as they occur, instead of relying on delayed batch processing methods.
2. To utilize Apache Kafka as a distributed streaming platform for handling high-volume transaction data with high throughput, low latency, and reliable data processing.
3. To apply machine learning algorithms such as Random Forest and other classification techniques to analyze transaction patterns and classify transactions as legitimate or fraudulent.
4. To detect anomalies in transaction behavior by analyzing factors such as transaction amount, frequency, location, and user activity.
5. To reduce financial losses and enhance the overall security of digital banking systems by preventing unauthorized and fraudulent transactions.
6. To design a scalable and fault-tolerant system architecture capable of processing millions of transactions efficiently in real time.
7. To enable real-time alert mechanisms that notify users or banking authorities about suspicious transactions for immediate action.
8. To improve fraud detection accuracy while minimizing false positives, thereby ensuring better customer experience and operational efficiency.
9. To build a system that can continuously learn and adapt to new and evolving fraud patterns using machine learning techniques.
10. To integrate data streaming, processing, machine learning, and alerting components into a unified and efficient real-time fraud detection pipeline.

1.3 EXISTING SYSTEM

The existing fraud detection systems used in banking are primarily based on rule-based mechanisms and batch processing techniques. These systems operate by comparing transaction data against a predefined set of rules such as transaction amount limits, frequency thresholds, and geographic inconsistencies. If a transaction violates any of these rules, it is flagged as suspicious.

However, these traditional systems have several limitations. One of the major drawbacks is that they are not capable of processing data in real time. Instead, transactions are analyzed after a certain delay, which can range from minutes to hours. This delay makes it difficult to prevent fraudulent activities instantly, often resulting in financial losses before any action can be taken.

Another limitation is the lack of adaptability. Rule-based systems do not learn from new data or evolving fraud patterns. As fraudsters continuously change their techniques, static rules become ineffective over time. Updating these rules manually is time-consuming and requires continuous human intervention.

Additionally, existing systems are often monolithic in nature, meaning all components such as data processing, analysis, and alert generation are tightly coupled. This makes the system less flexible, difficult to scale, and hard to maintain. Handling large volumes of transaction data becomes challenging, especially during peak banking hours.

Furthermore, these systems may generate a high number of false positives, incorrectly marking legitimate transactions as fraudulent. This affects customer experience and increases the workload on banking staff who must manually verify such transactions.

Overall, the existing system lacks real-time processing capability, scalability, adaptability, and efficiency, making it insufficient to handle modern, large-scale, and sophisticated fraud detection requirements.

1.4 DISADVANTAGES OF EXISTING SYSTEM

1. Lack of Real-Time Processing

The existing system processes transactions in batch mode, causing delays in detecting fraudulent activities and preventing immediate action.

2. Limited Detection Capability

Rule-based systems rely on predefined conditions, making them ineffective against new and evolving fraud patterns.

3. No Learning or Adaptability

Traditional systems do not use machine learning techniques, so they cannot learn from historical data or improve over time.

4. High False Positives

Many genuine transactions are incorrectly flagged as fraudulent, leading to inconvenience for customers and additional workload for bank staff.

5. Poor Scalability

Existing systems struggle to handle large volumes of transaction data, especially during peak times, resulting in performance issues.

6. Manual Rule Updates Required

Updating fraud detection rules requires human intervention, which is time-consuming and prone to errors.

7. Delayed Response to Fraud

Due to processing delays, actions such as blocking transactions or alerting users are not performed immediately.

8. Monolithic Architecture

The system components are tightly coupled, making it difficult to modify, upgrade, or scale individual parts of the system.

9. Inefficient Data Handling

The system cannot efficiently process high-velocity and high-volume streaming data generated in modern banking environments.

10. Reduced Accuracy in Detection

Static rules fail to capture complex fraud patterns, leading to lower accuracy in identifying fraudulent transactions.

1.5 PROPOSED SYSTEM:

Most traditional banking systems use **rule-based or batch-processing fraud detection mechanisms**. These systems operate by matching transaction data against predefined rules, such as transaction amount thresholds, frequency of transactions, or geographic inconsistencies. They often rely on historical data analysis and generate alerts after a certain delay, sometimes minutes or even hours after the transaction has been processed.

These systems are typically **monolithic, slow, and lack the scalability** required to handle the high throughput of real-time banking transactions. Additionally, they do not effectively learn from evolving fraud patterns, as they are not equipped with adaptive learning models. The communication between various components of the system (data ingestion, processing, and alert generation) is also tightly coupled, making it hard to update or scale individual components.

The proposed system utilizes **Apache Kafka** as a real-time distributed messaging platform to ingest and stream transaction data, which is then analyzed by **Machine Learning models** trained to identify fraudulent patterns. Kafka acts as the central data pipeline that continuously captures transaction records from various sources and delivers them to ML-powered fraud detection services in near real-time.

The ML models are trained using supervised learning algorithms on labeled datasets of past transactions, learning the differences between legitimate and fraudulent transactions. As new transactions arrive, they are immediately evaluated by the model to assess fraud probability. Suspicious transactions trigger real-time alerts or interventions such as account locking, user notification, or transaction blocking. The system is modular, enabling individual components (data ingestion, model serving, alerting) to scale independently, ensuring high availability and performance.

CHAPTER 2

LITERATURE SURVEY

2.1 LITERATURE SURVEY

RefNo	Authors & Year	Methodology / Approach	Key Contributions	Limitations
1	Dal Pozzolo et al. (2026)	ML models (Random Forest, SVM); handled class imbalance using sampling	Improved accuracy; addressed imbalance problem	Not suitable for real-time; high latency
2	Ahmed et al. (2025)	Streaming analytics using Kafka & Spark	Real-time detection; reduced time from hours to seconds	Complex setup; high resource usage
3	Bhattacharyya et al. (2023)	Decision Trees, Neural Networks, Naive Bayes; feature engineering	Comparative analysis; behavioral insights	High false positives; not real-time optimized
4	Kumar & Singh (2021)	Kafka-based pipeline with ML classifiers	High throughput; low latency	Limited large-scale testing
5	Zhang et al. (2020)	Deep Learning (LSTM) with streaming data	Adaptive detection; higher accuracy	High computational cost

1. **Title:** Apache Kafka Based Real-Time Fraud Detection System

Author: Kumar and Singh (2020)

Description Points:

- Designed a Kafka-centric pipeline for real-time transaction data ingestion.
- Integrated ML classifiers for anomaly detection.
- Highlighted the role of Kafka's partitioning for load balancing.
- Achieved high throughput with minimal latency in test scenarios.

2. **Title:** Adaptive Fraud Detection Using Deep Learning and Streaming Data

Author: Zhang et al. (2019)

Description Points:

- Developed deep learning models capable of adapting to new fraud patterns.
- Employed LSTM networks for sequential transaction analysis.
- Used streaming data for continuous model updates.
- Demonstrated superior detection accuracy compared to traditional ML models.

CHAPTER 3

SOFTWARE REQUIREMENT ANALYSIS

3.1 PROBLEM DEFINITION:

In the modern digital banking environment, the number of online transactions has increased significantly due to the widespread use of internet banking, mobile applications, and digital payment systems. While this growth has improved convenience and accessibility, it has also led to a sharp rise in fraudulent activities. Fraudsters continuously develop new techniques to exploit system vulnerabilities, resulting in financial losses and reduced customer trust.

Traditional fraud detection systems used by banks are mostly rule-based and rely on batch processing methods. These systems analyze transactions after they have been completed, which introduces delays in detecting fraudulent activities. As a result, by the time fraud is identified, the damage has often already occurred. Moreover, these systems lack the ability to adapt to new fraud patterns, making them less effective over time.

Another major challenge is handling the large volume and velocity of transaction data generated in real time. Existing systems are not designed to process such high-speed data efficiently. They also produce a high number of false positives, where legitimate transactions are incorrectly flagged as fraudulent, leading to inconvenience for customers and additional workload for banking staff.

To address these challenges, there is a need for a real-time, scalable, and intelligent fraud detection system. The proposed solution aims to integrate Apache Kafka for real-time data streaming and machine learning algorithms for accurate fraud detection. This system will continuously monitor transactions, identify anomalies, and generate instant alerts, thereby improving security and reducing financial risks.

3.2 FUNCTIONAL REQUIREMENTS:

Functional requirements define the core functionalities that the system must perform to achieve its objectives.

- The system should be able to capture and process bank transaction data in real time.
- It should classify transactions as either legitimate or fraudulent using machine learning algorithms.
- The system must generate alerts immediately when a suspicious transaction is detected.
- It should allow users to log in securely and access system features.
- The system should store transaction data and detection results for future analysis.
- It must support data preprocessing techniques such as normalization and feature extraction.
- The system should provide a dashboard to display transaction details and fraud statistics.
- It should allow integration with external systems for notifications such as email or SMS alerts.
- The system must support continuous data streaming using Apache Kafka.
- It should enable model training and updating using new data to improve accuracy.

3.3 NON-FUNCTIONAL REQUIREMENTS:

Non-functional requirements define the quality attributes and performance criteria of the system.

Performance:

The system must process transactions with minimal latency and support high throughput to handle large volumes of data efficiently.

Scalability:

The system should be scalable to accommodate increasing numbers of transactions without performance degradation.

Reliability:

The system must ensure continuous operation with minimal downtime and should be fault-tolerant.

Security:

Sensitive financial data must be protected using encryption, secure authentication, and access control mechanisms.

Usability:

The system interface should be user-friendly and easy to navigate for both users and administrators.

Maintainability:

The system should be designed in a modular way to allow easy updates, debugging, and enhancements.

Availability:

The system should be available at all times to monitor transactions continuously.

Accuracy:

The fraud detection model should provide high accuracy with minimal false positives and false negatives.

CHAPTER 4

SYSTEM REQUIREMENTS

4.1 HARDWARE REQUIREMENTS:

The hardware requirements specify the physical components needed to develop and run the real-time bank transaction fraud detection system efficiently. The system does not require high-end hardware but should meet minimum specifications to ensure smooth execution of data streaming and machine learning processes.

A computer system with a minimum processor of Pentium IV 2.4 GHz or higher is required to handle the computation tasks involved in data processing and model execution. The processor plays a key role in executing machine learning algorithms and handling real-time transaction streams.

The system should have at least 512 MB RAM, although higher memory (such as 4 GB or above) is recommended for better performance, especially when dealing with large datasets and streaming data. Sufficient RAM ensures faster data processing and prevents system lag.

A hard disk with a minimum capacity of 40 GB is required to store datasets, application files, machine learning models, and system logs. Additional storage may be needed depending on the size of transaction data and model outputs.

Input and output devices such as a keyboard and mouse are required for user interaction, while a monitor is necessary for displaying the application interface and results. A stable internet connection is also recommended for downloading required libraries, tools, and updates.

Overall, the hardware requirements are minimal and affordable, making the system easy to deploy in most environments without the need for specialized equipment.

4.2 SOFTWARE REQUIREMENTS:

The software requirements define the tools, platforms, and technologies needed to develop and implement the proposed fraud detection system.

The system requires an operating system such as Windows, which provides a user-friendly environment for development and execution. The application is developed using the Python programming language, which is widely used for machine learning and data analysis due to its simplicity and powerful libraries.

Several Python libraries are used in the project, including NumPy and Pandas for data processing and analysis, Scikit-learn and TensorFlow for implementing machine learning models, and Matplotlib for data visualization. These libraries provide efficient tools for handling large datasets and building predictive models.

The system also uses Apache Kafka, a distributed streaming platform, to handle real-time data ingestion and processing. Kafka enables high-throughput, low-latency data streaming, which is essential for real-time fraud detection.

For model development and experimentation, Jupyter Notebook is used, allowing interactive coding and visualization. A Flask web framework is used to develop the user interface and dashboard for monitoring transactions and fraud detection results.

Additionally, Java (JDK 1.8 or higher) is required to run Apache Kafka, as Kafka is built on Java. Web browsers such as Chrome or Edge are used to access the web-based interface of the system.

Overall, the software requirements consist of open-source and widely used technologies, making the system cost-effective, scalable, and easy to maintain.

CHAPTER 5

SYSTEM DESIGN

5.1 SYSTEM ANALYSIS:

The real-time bank transaction fraud detection system requires careful analysis of both functional and non-functional requirements to ensure it meets performance, accuracy, and scalability goals. Functionally, the system must be capable of continuously ingesting streaming transaction data, processing it with minimal delay, and accurately classifying transactions as fraudulent or legitimate. It must also generate alerts promptly to facilitate immediate responses from bank personnel or automated systems.

A critical aspect of the system analysis is handling the volume, velocity, and variety of transaction data typical in banking environments. The system must efficiently process millions of transactions per day, often arriving in bursts during peak times, without data loss or processing delays. Apache Kafka is analyzed as a suitable messaging system that guarantees reliable data ingestion, fault tolerance, and scalability through partitioning and replication features.

From a machine learning perspective, the system analysis involves identifying suitable algorithms that balance detection accuracy and computational efficiency. Models need to be robust against imbalanced datasets where fraudulent transactions are rare compared to legitimate ones. Techniques such as feature selection, anomaly detection, and ensemble learning are considered to optimize performance. The system should also support incremental model updates to adapt to evolving fraud patterns without requiring full retraining.

Security and privacy are paramount in the system analysis. Sensitive financial data must be handled with strict compliance to regulations such as GDPR and PCI DSS. Data encryption, secure access controls, and audit trails are incorporated into the design to protect user information and transaction integrity.

Finally, usability and maintainability factors are analyzed to ensure the system can be monitored, configured, and updated efficiently by bank IT teams. The inclusion of real-time dashboards, logging, and alert management tools supports ongoing system health checks and quick troubleshooting. Overall, the system analysis guides the design of a comprehensive fraud detection solution that is accurate, scalable, secure, and user-friendly.

5.2 UML DIAGRAMS:

CLASS DIAGRAM:

The class diagram is used to refine the use case diagram and define a detailed design of the system. The class diagram classifies the actors defined in the use case diagram into a set of interrelated classes. The relationship or association between the classes can be either an "is-a" or "has-a" relationship. Each class in the class diagram may be capable of providing certain functionalities. These functionalities provided by the class are termed "methods" of the class. Apart from this, each class may have certain "attributes" that uniquely.

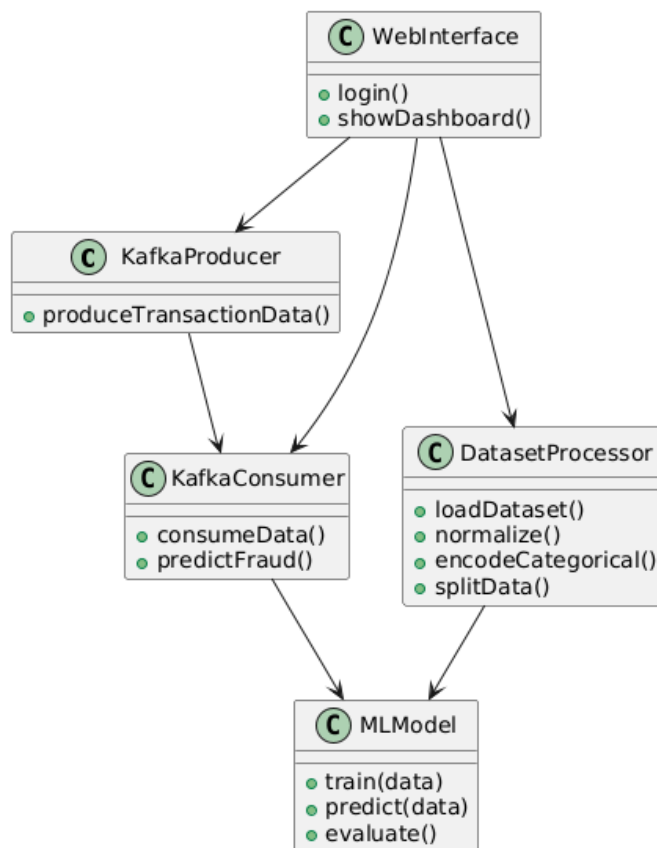


Fig 5.2.1 Class Diagram

Use case Diagram:

A use case diagram in the Unified Modeling Language (UML) is a type of behavioral diagram defined by and created from a Use-case analysis. Its purpose is to present a graphical overview of the functionality provided by a system in terms of actors, their goals (represented as use cases), and any dependencies between those use cases. The main purpose of a use case diagram is to show what system functions are performed for which actor. Roles of the actors in the system can be depicted.

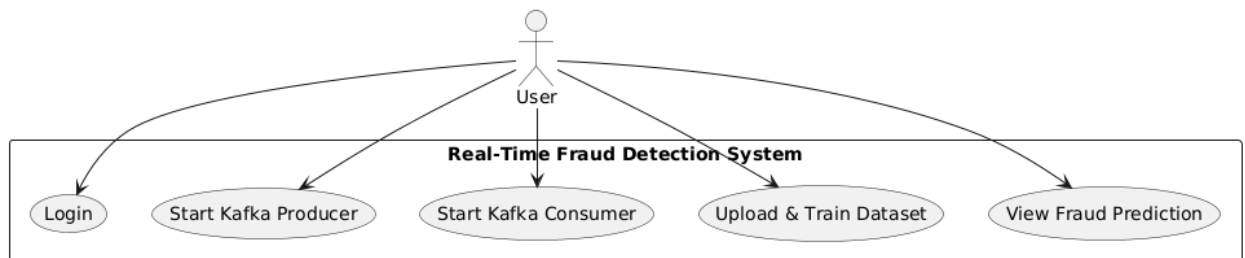


Fig 5.2.2 Use Case Diagram

Sequence Diagram:

A sequence diagram represents the interaction between different objects in the system. The important aspect of a sequence diagram is that it is time-ordered. This means that the exact sequence of the interactions between the objects is represented step by step. Different objects in the sequence diagram interact with each other by passing "messages"

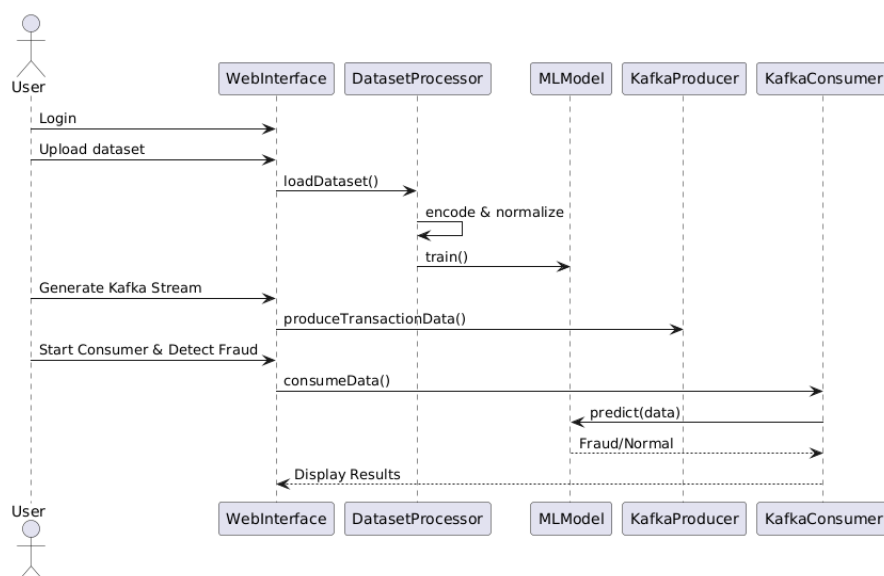


Fig 5.2.3 Sequence Diagram

Activity Diagram:

A Activity diagram groups together the interactions between different objects. The interactions are listed as numbered interactions that help to trace the sequence of the interactions. The collaboration diagram helps to identify all the possible interactions that each object has with other objects.

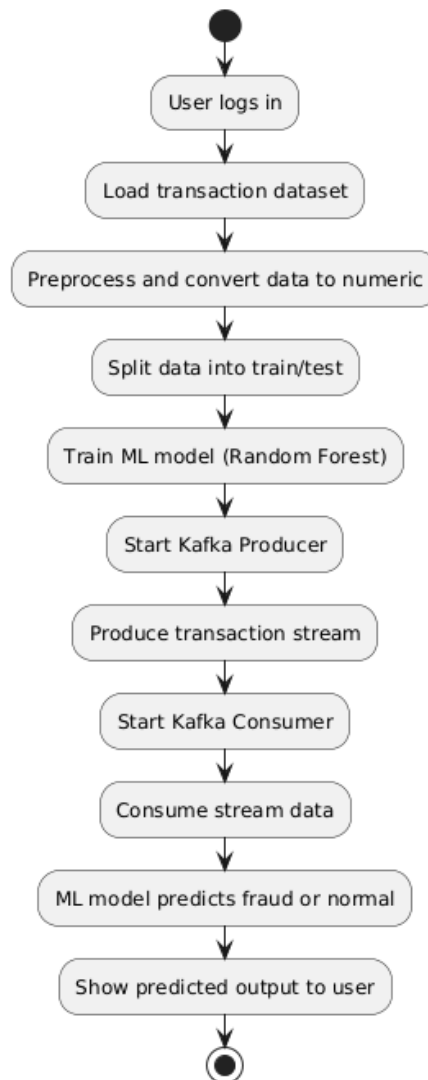


Fig 5.2.4 Activity Diagram

5.3 SYSTEM ARCHITECTURE:

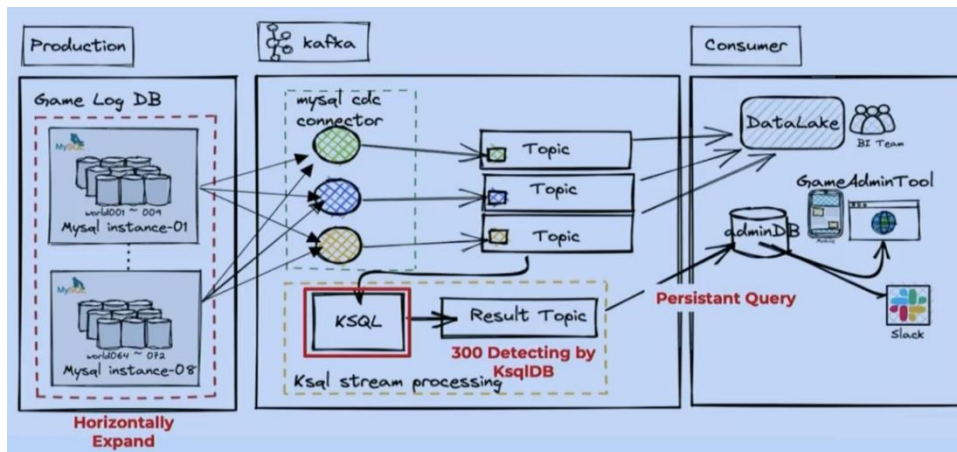


Fig 5.3.1 System architecture.

CHAPTER 6

SYSTEM IMPLEMENTATION

6.1 SYSTEM IMPLEMENTATION:

The implementation of the real-time bank transaction fraud detection system involves integrating multiple components including data ingestion, processing, machine learning, and alerting within a robust streaming architecture. Apache Kafka is deployed as the central data pipeline, responsible for collecting transaction events from banking applications in real time. Kafka producers are configured at the transaction source to publish messages to Kafka topics, while Kafka consumers subscribe to these topics for downstream processing.

Machine learning models are implemented using Python frameworks such as Scikit-learn or TensorFlow. Initially, historical transaction data is preprocessed and used to train models like Random Forest, XGBoost, or deep learning-based classifiers. Feature engineering involves extracting relevant attributes including transaction amount, time, location, and customer behavior metrics. The trained models are then serialized and integrated into the real-time stream processing pipeline to classify incoming transactions.

For real-time processing, Apache Kafka Streams or Apache Spark Streaming is utilized to consume transaction data from Kafka topics, apply the machine learning model for fraud detection, and produce results to output topics. This streaming layer is designed for fault tolerance and scalability, leveraging Kafka's partitioning to parallelize workload across multiple consumer instances. Processing latency is minimized to ensure near-instantaneous fraud classification.

An alerting module is implemented to trigger notifications whenever a transaction is flagged as potentially fraudulent. Alerts can be sent via email, SMS, or integrated with bank monitoring dashboards and incident management systems. A web-based dashboard built using frameworks like Flask or React provides visualization of transaction flows, fraud statistics, and system performance metrics, enabling real-time monitoring by bank analysts.

Security measures such as SSL encryption for Kafka communication, authentication via SASL, and role-based access control are implemented to protect sensitive financial data. Continuous integration and deployment pipelines are established to automate updates to the machine learning models and system components, ensuring adaptability to new fraud patterns and seamless maintenance.

System Environment:

What is Python :-

Below are some facts about Python.

Python is currently the most widely used multi-purpose, high-level programming language.

Python allows programming in Object-Oriented and Procedural paradigms. Python programs generally are smaller than other programming languages like Java.

Programmers have to type relatively less and indentation requirement of the language, makes them readable all the time.

Python language is being used by almost all tech-giant companies like – Google, Amazon, Facebook, Instagram, Dropbox, Uber... etc.

The biggest strength of Python is huge collection of standard library which can be used for the following .

- Machine Learning
- GUI Applications (like Kivy, Tkinter, PyQt etc.)
- Web frameworks like Django (used by YouTube, Instagram, Dropbox)
- Image processing (like Opencv, Pillow)
- Web scraping (like Scrapy, BeautifulSoup, Selenium)
- Test frameworks
- Multimedia

Advantages of Python :-

Let's see how Python dominates over other languages.

1. Extensive Libraries

Python downloads with an extensive library and it *contain code for various purposes like regular expressions, documentation-generation, unit-testing, web browsers, threading, databases, CGI, email, image manipulation, and more*. So, we don't have to write the complete code for that manually.

2. Extensible

As we have seen earlier, Python can be **extended to other languages**. You can write some of your code in languages like C++ or C. This comes in handy, especially in projects.

3. Embeddable

Complimentary to extensibility, Python is embeddable as well. You can put your Python code in your source code of a different language, like C++. This lets us add **scripting capabilities** to our code in the other language.

4. Improved Productivity

The language's simplicity and extensive libraries render programmers **more productive** than languages like Java and C++ do. Also, the fact that you need to write less and get more things done.

5. IOT Opportunities

Since Python forms the basis of new platforms like Raspberry Pi, it finds the future bright for the Internet Of Things. This is a way to connect the language with the real world.

6. Simple and Easy

When working with Java, you may have to create a class to print '**Hello World**'. But in Python, just a print statement will do. It is also quite **easy to learn, understand, and code**. This is why when people pick up Python, they have a hard time adjusting to other more verbose languages like Java.

7. Readable

Because it is not such a verbose language, reading Python is much like reading English. This is the reason why it is so easy to learn, understand, and code. It also does not need curly braces to define blocks, and **indentation is mandatory**. This further aids the readability of the code.

8. Object-Oriented

This language supports both the **procedural and object-oriented** programming paradigms. While functions help us with code reusability, classes and objects let us model the real world. A class allows the **encapsulation of data** and functions into one.

9. Free and Open-Source

Like we said earlier, Python is **freely available**. But not only can you **download Python** for free, but you can also download its source code, make changes to it, and even distribute it. It downloads with an extensive collection of libraries to help you with your tasks.

10. Portable

When you code your project in a language like C++, you may need to make some changes to it if you want to run it on another platform. But it isn't the same with Python. Here, you need to **code only once**, and you can run it anywhere. This is called **Write Once Run Anywhere (WORA)**. However, you need to be careful enough not to include any system-dependent features.

11. Interpreted

Lastly, we will say that it is an interpreted language. Since statements are executed one by one, **debugging is easier** than in compiled languages.

Any doubts till now in the advantages of Python? Mention in the comment section.

Advantages of Python Over Other Languages

1. Less Coding

Almost all of the tasks done in Python requires less coding when the same task is done in other languages. Python also has an awesome standard library support, so you don't have to search for any third-party libraries to get your job done. This is the reason that many people suggest learning Python to beginners.

2. Affordable

Python is free therefore individuals, small companies or big organizations can leverage the free available resources to build applications. Python is popular and widely used so it gives you better community support.

The 2019 Github annual survey showed us that Python has overtaken Java in the most popular programming language category.

3. Python is for Everyone

Python code can run on any machine whether it is Linux, Mac or Windows. Programmers need to learn different languages for different jobs but with Python, you can professionally build web apps, perform data analysis and **machine learning**, automate things, do web scraping and also build games and powerful visualizations. It is an all-rounder programming language.

Disadvantages of Python

So far, we've seen why Python is a great choice for your project. But if you choose it, you should be aware of its consequences as well. Let's now see the downsides of choosing Python over another language.

1. Speed Limitations

We have seen that Python code is executed line by line. But since Python is interpreted, it often results in **slow execution**. This, however, isn't a problem unless speed is a focal point for the project. In other words, unless high speed is a requirement, the benefits offered by Python are enough to distract us from its speed limitations.

2. Weak in Mobile Computing and Browsers

While it serves as an excellent server-side language, Python is much rarely seen on the **client-side**. Besides that, it is rarely ever used to implement smartphone-based applications. One such application is called **Carbonnelle**.

The reason it is not so famous despite the existence of Brython is that it isn't that secure.

3. Design Restrictions

As you know, Python is **dynamically-typed**. This means that you don't need to declare the type of variable while writing the code. It uses **duck-typing**. But wait, what's that? Well, it just means that if it looks like a duck, it must be a duck. While this is easy on the programmers during coding, it can **raise run-time errors**.

4. Underdeveloped Database Access Layers

Compared to more widely used technologies like **JDBC (Java DataBase Connectivity)** and **ODBC (Open DataBase Connectivity)**, Python's database access layers are a bit underdeveloped. Consequently, it is less often applied in huge enterprises.

5. Simple

No, we're not kidding. Python's simplicity can indeed be a problem. Take my example. I don't do Java, I'm more of a Python person. To me, its syntax is so simple that the verbosity of Java code seems unnecessary.

This was all about the Advantages and Disadvantages of Python Programming Language.

History of Python : -

What do the alphabet and the programming language Python have in common? Right, both start with ABC. If we are talking about ABC in the Python context, it's clear that the programming language ABC is meant. ABC is a general-purpose programming language and programming environment, which had been developed in the Netherlands, Amsterdam, at the CWI (Centrum Wiskunde & Informatica). The greatest achievement of ABC was to influence the design of Python. Python was conceptualized in the late 1980s. Guido van Rossum worked that time in a project at the CWI, called Amoeba, a distributed operating system. In an interview with Bill Venners¹, Guido van Rossum said: "In the early 1980s, I worked as an implementer on a team building a language called ABC at Centrum voor Wiskunde en Informatica (CWI).

I don't know how well people know ABC's influence on Python. I try to mention ABC's influence because I'm indebted to everything I learned during that project and to the people who worked on it." Later on in the same Interview, Guido van Rossum continued: "I remembered all my experience and some of my frustration with ABC. I decided to try to design a simple scripting language that possessed some of ABC's better properties, but without its problems. So I started typing. I created a simple virtual machine, a simple parser, and a simple runtime. I made my own version of the various ABC parts that I liked. I created a basic syntax, used indentation for statement grouping instead of curly braces or begin-end blocks, and developed a small number of powerful data types: a hash table (or dictionary, as we call it), a list, strings, and numbers."

What is Machine Learning : -

Before we take a look at the details of various machine learning methods, let's start by looking at what machine learning is, and what it isn't. Machine learning is often categorized as a subfield of artificial intelligence, but I find that categorization can often be misleading at first brush. The study of machine learning certainly arose from research in this context, but in the data science application of machine learning methods, it's more helpful to think of machine learning as a means of *building models of data*.

Fundamentally, machine learning involves building mathematical models to help understand data. "Learning" enters the fray when we give these models *tunable parameters* that can be adapted to observed data; in this way the program can be considered to be "learning" from the data.

Once these models have been fit to previously seen data, they can be used to predict and understand aspects of newly observed data. I'll leave to the reader the more philosophical digression regarding the extent to which this type of mathematical, model-based "learning" is similar to the "learning" exhibited by the human brain. Understanding the problem setting in machine learning is essential to using these tools effectively, and so we will start with some broad categorizations of the types of approaches we'll discuss here.

Categories Of Machine Learning :-

At the most fundamental level, machine learning can be categorized into two main types: supervised learning and unsupervised learning.

Supervised learning involves somehow modeling the relationship between measured features of data and some label associated with the data; once this model is determined, it can be used to apply labels to new, unknown data. This is further subdivided into *classification* tasks and *regression* tasks: in classification, the labels are discrete categories, while in regression, the labels are continuous quantities. We will see examples of both types of supervised learning in the following section.

Unsupervised learning involves modeling the features of a dataset without reference to any label, and is often described as "letting the dataset speak for itself." These models include tasks such as *clustering* and *dimensionality reduction*.

Clustering algorithms identify distinct groups of data, while dimensionality reduction algorithms search for more succinct representations of the data. We will see examples of both types of unsupervised learning in the following section.

Need for Machine Learning

Human beings, at this moment, are the most intelligent and advanced species on earth because they can think, evaluate and solve complex problems. On the other side, AI is still in its initial stage and haven't surpassed human intelligence in many aspects. Then the question is that what is the need to make machine learn? The most suitable reason for doing this is, "to make decisions, based on data, with efficiency and scale".

Lately, organizations are investing heavily in newer technologies like Artificial Intelligence, Machine Learning and Deep Learning to get the key information from data to perform several real-world tasks and solve problems. We can call it data-driven decisions taken by machines, particularly to automate the process. These data-driven decisions can be used, instead of using programming logic, in the problems that cannot be programmed inherently. The fact is that we can't do without human intelligence, but other aspect is that we all need to solve real-world problems with efficiency at a huge scale. That is why the need for machine learning arises.

Challenges in Machines Learning :-

While Machine Learning is rapidly evolving, making significant strides with cybersecurity and autonomous cars, this segment of AI as whole still has a long way to go. The reason behind is that ML has not been able to overcome number of challenges. The challenges that ML is facing currently are –

Quality of data – Having good-quality data for ML algorithms is one of the biggest challenges. Use of low-quality data leads to the problems related to data preprocessing and feature extraction.

Time-Consuming task – Another challenge faced by ML models is the consumption of time especially for data acquisition, feature extraction and retrieval.

Lack of specialist persons – As ML technology is still in its infancy stage, availability of expert resources is a tough job.

No clear objective for formulating business problems – Having no clear objective and well-defined goal for business problems is another key challenge for ML because this technology is not that mature yet.

Issue of overfitting & underfitting – If the model is overfitting or underfitting, it cannot be represented well for the problem.

Curse of dimensionality – Another challenge ML model faces is too many features of data points. This can be a real hindrance.

Difficulty in deployment – Complexity of the ML model makes it quite difficult to be deployed in real life.

Applications of Machines Learning :-

Machine Learning is the most rapidly growing technology and according to researchers we are in the golden year of AI and ML. It is used to solve many real-world complex problems which cannot be solved with traditional approach. Following are some real-world applications of ML –

- Emotion analysis
- Sentiment analysis
- Error detection and prevention
- Weather forecasting and prediction
- Stock market analysis and forecasting
- Speech synthesis
- Speech recognition
- Customer segmentation
- Object recognition
- Fraud detection
- Fraud prevention
- Recommendation of products to customer in online shopping

How to Start Learning Machine Learning?

Arthur Samuel coined the term “**Machine Learning**” in 1959 and defined it as a “**Field of study that gives computers the capability to learn without being explicitly programmed**”.

And that was the beginning of Machine Learning! In modern times, Machine Learning is one of the most popular (if not the most!) career choices. According to Indeed, Machine Learning Engineer Is The Best Job of 2019 with a 344% growth and an average base salary of **\$146,085** per year.

But there is still a lot of doubt about what exactly is Machine Learning and how to start learning it? So this article deals with the Basics of Machine Learning and also the path you can follow to eventually become a full-fledged Machine Learning Engineer. Now let's get started!!!

How to start learning ML?

This is a rough roadmap you can follow on your way to becoming an insanely talented Machine Learning Engineer. Of course, you can always modify the steps according to your needs to reach your desired end-goal!

Step 1 – Understand the Prerequisites

In case you are a genius, you could start ML directly but normally, there are some prerequisites that you need to know which include Linear Algebra, Multivariate Calculus, Statistics, and Python. And if you don't know these, never fear! You don't need a Ph.D. degree in these topics to get started but you do need a basic understanding.

(a) Learn Linear Algebra and Multivariate Calculus

Both Linear Algebra and Multivariate Calculus are important in Machine Learning. However, the extent to which you need them depends on your role as a data scientist. If you are more focused on application heavy machine learning, then you will not be that heavily focused on maths as there are many common libraries available. But if you want to focus on R&D in Machine Learning, then mastery of Linear Algebra and Multivariate Calculus is very important as you will have to implement many ML algorithms from scratch.

(b) Learn Statistics

Data plays a huge role in Machine Learning. In fact, around 80% of your time as an ML expert will be spent collecting and cleaning data. And statistics is a field that handles the collection, analysis, and presentation of data. So it is no surprise that you need to learn it!!! Some of the key concepts in statistics that are important are Statistical Significance, Probability Distributions, Hypothesis Testing, Regression, etc. Also, Bayesian Thinking is also a very important part of ML which deals with various concepts like Conditional Probability, Priors, and Posteriors, Maximum Likelihood, etc.

(c) Learn Python

Some people prefer to skip Linear Algebra, Multivariate Calculus and Statistics and learn them as they go along with trial and error. But the one thing that you absolutely cannot skip is Python! While there are other languages you can use for Machine Learning like R, Scala, etc. Python is currently the most popular language for ML. In fact, there are many Python libraries that are specifically useful for Artificial Intelligence and Machine Learning such as Keras, TensorFlow, Scikit-learn, etc.

So if you want to learn ML, it's best if you learn Python! You can do that using various online resources and courses such as **Fork Python** available Free on GeeksforGeeks.

Step 2 – Learn Various ML Concepts

Now that you are done with the prerequisites, you can move on to actually learning ML (Which is the fun part!!!) It's best to start with the basics and then move on to the more complicated stuff. Some of the basic concepts in ML are:

(a) Terminologies of Machine Learning

- **Model** – A model is a specific representation learned from data by applying some machine learning algorithm. A model is also called a hypothesis.
- **Feature** – A feature is an individual measurable property of the data. A set of numeric features can be conveniently described by a feature vector. Feature vectors are fed as input to the model. For example, in order to predict a fruit, there may be features like color, smell, taste, etc.
- **Target (Label)** – A target variable or label is the value to be predicted by our model. For the fruit example discussed in the feature section, the label with each set of input would be the name of the fruit like apple, orange, banana, etc.
- **Training** – The idea is to give a set of inputs(features) and it's expected outputs(labels), so after training, we will have a model (hypothesis) that will then map new data to one of the categories trained on.
- **Prediction** – Once our model is ready, it can be fed a set of inputs to which it will provide a predicted output(label).

(b) Types of Machine Learning

- **Supervised Learning** – This involves learning from a training dataset with labeled data using classification and regression models. This learning process continues until the required level of performance is achieved.
- **Unsupervised Learning** – This involves using unlabelled data and then finding the underlying structure in the data in order to learn more and more about the data itself using factor and cluster analysis models.
- **Semi-supervised Learning** – This involves using unlabelled data like Unsupervised Learning with a small amount of labeled data. Using labeled data

vastly increases the learning accuracy and is also more cost-effective than Supervised Learning.

- **Reinforcement Learning** – This involves learning optimal actions through trial and error. So the next action is decided by learning behaviors that are based on the current state and that will maximize the reward in the future.

Advantages of Machine learning :-

1. Easily identifies trends and patterns -

Machine Learning can review large volumes of data and discover specific trends and patterns that would not be apparent to humans. For instance, for an e-commerce website like Amazon, it serves to understand the browsing behaviors and purchase histories of its users to help cater to the right products, deals, and reminders relevant to them. It uses the results to reveal relevant advertisements to them.

2. No human intervention needed (automation)

With ML, you don't need to babysit your project every step of the way. Since it means giving machines the ability to learn, it lets them make predictions and also improve the algorithms on their own. A common example of this is anti-virus softwares; they learn to filter new threats as they are recognized. ML is also good at recognizing spam.

3. Continuous Improvement

As **ML algorithms** gain experience, they keep improving in accuracy and efficiency. This lets them make better decisions. Say you need to make a weather forecast model. As the amount of data you have keeps growing, your algorithms learn to make more accurate predictions faster.

4. Handling multi-dimensional and multi-variety data

Machine Learning algorithms are good at handling data that are multi-dimensional and multi-variety, and they can do this in dynamic or uncertain environments.

5. Wide Applications

You could be an e-tailer or a healthcare provider and make ML work for you. Where it does apply, it holds the capability to help deliver a much more personal experience to customers while also targeting the right customers.

Disadvantages of Machine Learning :-

1. Data Acquisition

Machine Learning requires massive data sets to train on, and these should be inclusive/unbiased, and of good quality. There can also be times where they must wait for new data to be generated.

2. Time and Resources

ML needs enough time to let the algorithms learn and develop enough to fulfill their purpose with a considerable amount of accuracy and relevancy. It also needs massive resources to function. This can mean additional requirements of computer power for you.

3. Interpretation of Results

Another major challenge is the ability to accurately interpret results generated by the algorithms. You must also carefully choose the algorithms for your purpose.

4. High error-susceptibility

Machine Learning is autonomous but highly susceptible to errors. Suppose you train an algorithm with data sets small enough to not be inclusive. You end up with biased predictions coming from a biased training set. This leads to irrelevant advertisements being displayed to customers. In the case of ML, such blunders can set off a chain of errors that can go undetected for long periods of time. And when they do get noticed, it takes quite some time to recognize the source of the issue, and even longer to correct it.

Python Development Steps :-

Guido Van Rossum published the first version of Python code (version 0.9.0) at alt.sources in February 1991. This release included already exception handling, functions, and the core data types of list, dict, str and others. It was also object oriented and had a module system. Python version 1.0 was released in January 1994. The major new features included in this release were the functional programming tools lambda, map, filter and reduce, which Guido Van Rossum never liked. Six and a half years later in October 2000, Python 2.0 was introduced. This release included list comprehensions, a full garbage collector and it was supporting unicode. Python flourished for another 8

years in the versions 2.x before the next major release as Python 3.0 (also known as "Python 3000" and "Py3K") was released. Python 3 is not backwards compatible with Python 2.x.

The emphasis in Python 3 had been on the removal of duplicate programming constructs and modules, thus fulfilling or coming close to fulfilling the 13th law of the Zen of Python: "There should be one -- and preferably only one -- obvious way to do it." Some changes in Python 3:

- Print is now a function
- Views and iterators instead of lists
- The rules for ordering comparisons have been simplified. E.g. a heterogeneous list cannot be sorted, because all the elements of a list must be comparable to each other.
- There is only one integer type left, i.e. int. long is int as well.
- The division of two integers returns a float instead of an integer. "//" can be used to have the "old" behaviour.
- Text Vs. Data Instead Of Unicode Vs. 8-bit

Purpose :-

We demonstrated that our approach enables successful segmentation of intra-retinal layers—even with low-quality images containing speckle noise, low contrast, and different intensity ranges throughout—with the assistance of the ANIS feature.

Python

Python is an interpreted high-level programming language for general-purpose programming. Created by Guido van Rossum and first released in 1991, Python has a design philosophy that emphasizes code readability, notably using significant whitespace.

Python features a dynamic type system and automatic memory management. It supports multiple programming paradigms, including object-oriented, imperative, functional and procedural, and has a large and comprehensive standard library.

- Python is Interpreted – Python is processed at runtime by the interpreter. You do not need to compile your program before executing it. This is similar to PERL and PHP.
- Python is Interactive – you can actually sit at a Python prompt and interact with the interpreter directly to write your programs.

Python also acknowledges that speed of development is important. Readable and terse code is part of this, and so is access to powerful constructs that avoid tedious repetition of code. Maintainability also ties into this may be an all but useless metric, but it does say something about how much code you have to scan, read and/or understand to troubleshoot problems or tweak behaviors. This speed of development, the ease with which a programmer of other languages can pick up basic Python skills and the huge standard library is key to another area where Python excels. All its tools have been quick to implement, saved a lot of time, and several of them have later been patched and updated by people with no Python background - without breaking.

Modules Used in Project :-

Tensorflow

TensorFlow is a free and open-source software library for dataflow and differentiable programming across a range of tasks. It is a symbolic math library, and is also used for machine learning applications such as neural networks. It is used for both research and production at Google.

TensorFlow was developed by the Google Brain team for internal Google use. It was released under the Apache 2.0 open-source license on November 9, 2015.

Numpy

Numpy is a general-purpose array-processing package. It provides a high-performance multidimensional array object, and tools for working with these arrays.

It is the fundamental package for scientific computing with Python. It contains various features including these important ones:

- A powerful N-dimensional array object
- Sophisticated (broadcasting) functions
- Tools for integrating C/C++ and Fortran code
- Useful linear algebra, Fourier transform, and random number capabilities

Besides its obvious scientific uses, Numpy can also be used as an efficient multi-dimensional container of generic data. Arbitrary data-types can be defined using Numpy which allows Numpy to seamlessly and speedily integrate with a wide variety of databases.

Pandas

Pandas is an open-source Python Library providing high-performance data manipulation and analysis tool using its powerful data structures. Python was majorly used for data munging and preparation. It had very little contribution towards data analysis. Pandas solved this problem. Using Pandas, we can accomplish five typical steps in the processing and analysis of data, regardless of the origin of data load, prepare, manipulate, model, and analyze. Python with Pandas is used in a wide range of fields including academic and commercial domains including finance, economics, Statistics, analytics, etc.

Matplotlib

Matplotlib is a Python 2D plotting library which produces publication quality figures in a variety of hardcopy formats and interactive environments across platforms. Matplotlib can be used in Python scripts, the Python and IPython shells, the Jupyter Notebook, web application servers, and four graphical user interface toolkits. Matplotlib tries to make easy things easy and hard things possible. You can generate plots, histograms, power spectra, bar charts, error charts, scatter plots, etc., with just a few lines of code. For examples, see the sample plots and thumbnail gallery.

For simple plotting the pyplot module provides a MATLAB-like interface, particularly when combined with IPython. For the power user, you have full control of line styles, font properties, axes properties, etc, via an object oriented interface or via a set of functions familiar to MATLAB users.

Scikit – learn

Scikit-learn provides a range of supervised and unsupervised learning algorithms via a consistent interface in Python. It is licensed under a permissive simplified BSD license and is distributed under many Linux distributions, encouraging academic and commercial use. **Python**

Python is an interpreted high-level programming language for general-purpose programming. Created by Guido van Rossum and first released in 1991, Python has a design philosophy that emphasizes code readability, notably using significant whitespace.

Python features a dynamic type system and automatic memory management. It supports multiple programming paradigms, including object-oriented, imperative, functional and procedural, and has a large and comprehensive standard library.

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- Python is Interactive – you can actually sit at a Python prompt and interact with the interpreter directly to write your programs.

Python also acknowledges that speed of development is important. Readable and terse code is part of this, and so is access to powerful constructs that avoid tedious repetition of code. Maintainability also ties into this may be an all but useless metric, but it does say something about how much code you have to scan, read and/or understand to troubleshoot problems or tweak behaviors. This speed of development, the ease with which a programmer of other languages can pick up basic Python skills and the huge standard library is key to another area where Python excels.

All its tools have been quick to implement, saved a lot of time, and several of them have later been patched and updated by people with no Python background - without breaking.

Install Python Step-by-Step in Windows and Mac :

Python a versatile programming language doesn't come pre-installed on your computer devices. Python was first released in the year 1991 and until today it is a very popular high-level programming language. Its style philosophy emphasizes code readability with its notable use of great whitespace.

The object-oriented approach and language construct provided by Python enables programmers to write both clear and logical code for projects. This software does not come pre-packaged with Windows.

How to Install Python on Windows and Mac :

There have been several updates in the Python version over the years. The question is how to install Python? It might be confusing for the beginner who is willing to start learning Python but this tutorial will solve your query. The latest or the newest version of Python is version 3.7.4 or in other words, it is Python 3.

Note: The python version 3.7.4 cannot be used on Windows XP or earlier devices.

Before you start with the installation process of Python. First, you need to know about your **System Requirements**. Based on your system type i.e. operating system and based processor, you must download the python version. My system type is a **Windows 64-bit operating system**. So the steps below are to install python version 3.7.4 on Windows 7 device or to install Python 3. [Download the Python Cheatsheet here.](#)The steps on how to install Python on Windows 10, 8 and 7 are **divided into 4 parts** to help understand better.

Download the Correct version into the system

Step 1: Go to the official site to download and install python using Google Chrome or any other web browser. OR Click on the following link: <https://www.python.org>



Fig 6.1 Download the Correct version into the system

Now, check for the latest and the correct version for your operating system.

Step 2: Click on the Download Tab.



Fig 6.2 Click on the Download Tab.

Step 3: You can either select the Download Python for windows 3.7.4 button in Yellow Color or you can scroll further down and click on download with respective to their version. Here, we are downloading the most recent python version for windows 3.7.4

Looking for a specific release?

Python releases by version number:

Release version	Release date		Click for more
Python 3.7.4	July 8, 2019	Download	Release Notes
Python 3.6.9	July 2, 2019	Download	Release Notes
Python 3.7.3	March 25, 2019	Download	Release Notes
Python 3.4.10	March 18, 2019	Download	Release Notes
Python 3.5.7	March 18, 2019	Download	Release Notes
Python 2.7.16	March 4, 2019	Download	Release Notes
Python 3.7.2	Dec. 24, 2018	Download	Release Notes

Fig 6.3 select the Download Python for windows 3.7.4

Step 4: Scroll down the page until you find the Files option.

Step 5: Here you see a different version of python along with the operating system.

Files

Version	Operating System	Description	MD5 Sum	File Size	GP6
Gzipped source tarball	Source release		68111671e5b2db4aef7b9ab010f09be	23017663	SiG
XZ compressed source tarball	Source release		d33e4aee6097051c2eca45ee3604803	17131432	SiG
macOS 64-bit/32-bit installer	Mac OS X	for Mac OS X 10.6 and later	6428b4fa7583daf1a442cba8cee08e6	34898416	SiG
macOS 64-bit installer	Mac OS X	for OS X 10.9 and later	5dd605c38217a457738f5e4a936b241f	28082845	SiG
Windows help file	Windows		d63999573a2c56b2ac56cade6b47cd2	8131761	SiG
Windows x86-64 embeddable zip file	Windows	for AMD64/EM64T/x64	9600c3cf8d9ec0b6abe63184a40728a2	7504391	SiG
Windows x86-64 executable installer	Windows	for AMD64/EM64T/x64	a702b4b0ad76debd83043a383e563400	26680368	SiG
Windows x86-64 web-based installer	Windows	for AMD64/EM64T/x64	28cb1c6088ed73ae8e53a3b6351b4bd2	1382904	SiG
Windows x86 embeddable zip file	Windows		9fab3b8118841879fda94133574139d8	6741826	SiG
Windows x86 executable installer	Windows		33cc802942a54446a3d646147e3b4789	25663848	SiG
Windows x86 web-based installer	Windows		1b670cfa5d317df82c30983ea371d87c	1324608	SiG

Fig 6.4 different version of python along with the operating system.

- To download Windows 32-bit python, you can select any one from the three options: Windows x86 embeddable zip file, Windows x86 executable installer or Windows x86 web-based installer.

- To download Windows 64-bit python, you can select any one from the three options: Windows x86-64 embeddable zip file, Windows x86-64 executable installer or Windows x86-64 web-based installer.

Here we will install Windows x86-64 web-based installer. Here your first part regarding which version of python is to be downloaded is completed. Now we move ahead with the second part in installing python i.e. Installation

Note: To know the changes or updates that are made in the version you can click on the Release Note Option.

Installation of Python

Step 1: Go to Download and Open the downloaded python version to carry out the installation process.

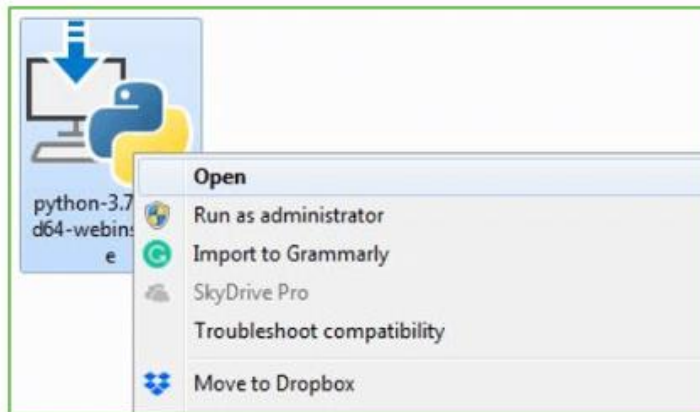


Fig 6.5 Installation of Python

Step 2: Before you click on Install Now, Make sure to put a tick on Add Python 3.7 to PATH.



Fig 6.6 Add Python 3.7 to PATH.

Step 3: Click on Install NOW After the installation is successful. Click on Close.



Fig 6.7 Installation Successful.

With these above three steps on python installation, you have successfully and correctly installed Python. Now is the time to verify the installation.

Note: The installation process might take a couple of minutes.

Verify the Python Installation

Step 1: Click on Start

Step 2: In the Windows Run Command, type “cmd”.

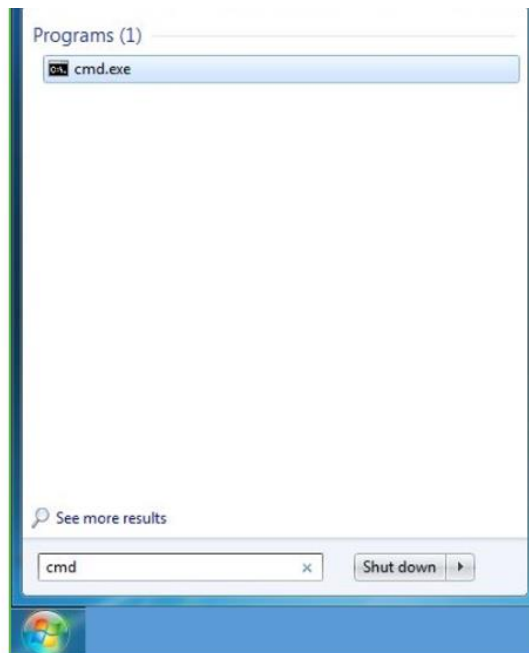


Fig 6.8 Verify the Python Installation

Step 3: Open the Command prompt option.

Step 4: Let us test whether the python is correctly installed. Type **python -V** and press Enter.

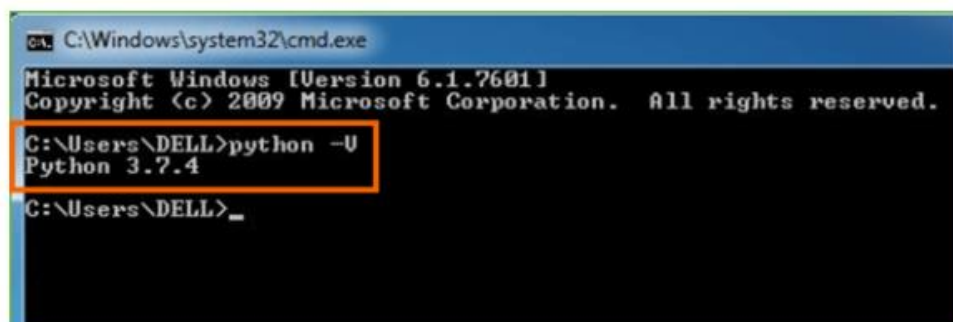


Fig 6.9 open command prompt.

Step 5: You will get the answer as 3.7.4

Note: If you have any of the earlier versions of Python already installed. You must first uninstall the earlier version and then install the new one.

Check how the Python IDLE works

Step 1: Click on Start

Step 2: In the Windows Run command, type “python idle”.

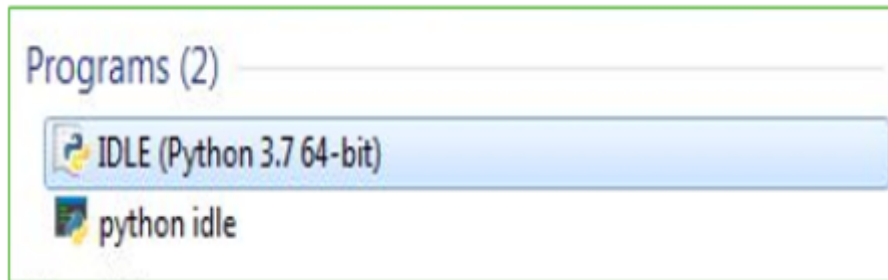


Fig 6.10 python idle works.

Step 3: Click on IDLE (Python 3.7 64-bit) and launch the program

Step 4: To go ahead with working in IDLE you must first save the file. **Click on File > Click on Save**

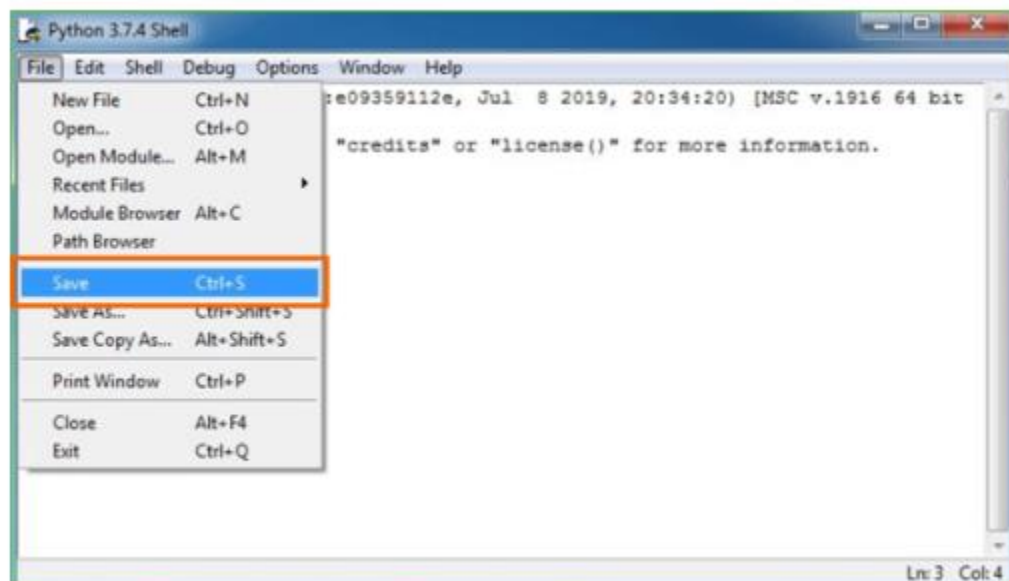


Fig 6.11 clicking save.

Step 5: Name the file and save as type should be Python files. Click on SAVE. Here I have named the files as Hey World.

Step 6: Now for e.g. enter print

CHAPTER 7

SYSTEM TESTING

7.1 SYSTEM TEST

The purpose of testing is to discover errors. Testing is the process of trying to discover every conceivable fault or weakness in a work product. It provides a way to check the functionality of components, sub assemblies, assemblies and/or a finished product. It is the process of exercising software with the intent of ensuring that the Software system meets its requirements and user expectations and does not fail in an unacceptable manner. There are various types of test. Each test type addresses a specific testing requirement.

TYPES OF TESTS

Unit testing

Unit testing involves the design of test cases that validate that the internal program logic is functioning properly, and that program inputs produce valid outputs. All decision branches and internal code flow should be validated. It is the testing of individual software units of the application. It is done after the completion of an individual unit before integration. This is a structural testing, that relies on knowledge of its construction and is invasive. Unit tests perform basic tests at component level and test a specific business process, application, and/or system configuration. Unit tests ensure that each unique path of a business process performs accurately to the documented specifications and contains clearly defined inputs and expected results.

Integration testing

Integration tests are designed to test integrated software components to determine if they actually run as one program. Testing is event driven and is more concerned with the basic outcome of screens or fields. Integration tests demonstrate that although the components were individually satisfactory, as shown by successful unit testing, the combination of components is correct and consistent. Integration testing is specifically aimed at exposing the problems that arise from the

combination of components.

Functional test

Functional tests provide systematic demonstrations that functions tested are available as specified by the business and technical requirements, system documentation, and user manuals.

Functional testing is centered on the following items:

- Valid Input : identified classes of valid input must be accepted.
- Invalid Input : identified classes of invalid input must be rejected.
- Functions : identified functions must be exercised.
- Output : identified classes of application outputs must be exercised.

Systems/Procedures : interfacing systems or procedures must be invoked.

Organization and preparation of functional tests is focused on requirements, key functions, or special test cases. In addition, systematic coverage pertaining to identify Business process flows; data fields, predefined processes, and successive processes must be considered for testing. Before functional testing is complete, additional tests are identified and the effective value of current tests is determined.

System Test

System testing ensures that the entire integrated software system meets requirements. It tests a configuration to ensure known and predictable results. An example of system testing is the configuration oriented system integration test. System testing is based on process descriptions and flows, emphasizing pre-driven process links and integration points.

White Box Testing

White Box Testing is a testing in which the software tester has knowledge of the inner workings, structure and language of the software, or at least its purpose. It is used to test areas that cannot be reached from a black box level.

Black Box Testing

Black Box Testing is testing the software without any knowledge of the inner workings, structure or language of the module being tested. Black box tests, as most other kinds of tests, must be written from a definitive source document, such as specification or requirements document, such as specification or requirements document. It is a testing in which the software under test is treated, as a black box .you cannot “see” into it. The test provides inputs and responds to outputs without considering how the software works.

Unit Testing

Unit testing is usually conducted as part of a combined code and unit test phase of the software lifecycle, although it is not uncommon for coding and unit testing to be conducted as two distinct phases.

Test strategy and approach

Field testing will be performed manually and functional tests will be written in detail.

Test objectives

- All field entries must work properly.
- Pages must be activated from the identified link.
- The entry screen, messages and responses must not be delayed.

Features to be tested

- Verify that the entries are of the correct format
- No duplicate entries should be allowed
- All links should take the user to the correct page.

Integration Testing

Software integration testing is the incremental integration testing of two or more integrated software components on a single platform to produce failures caused by interface defects.

The task of the integration test is to check that components or software applications, e.g. components in a software system or – one step up – software applications at the company level – interact without error.

Test Results: All the test cases mentioned above passed successfully. No defects

encountered.

Acceptance Testing

User Acceptance Testing is a critical phase of any project and requires significant participation by the end user. It also ensures that the system meets the functional requirements.

Test Results: All the test cases mentioned above passed successfully. No defects encountered.

Test cases1:

Test case for Login form:

FUNCTION:	LOGIN
EXPECTED RESULTS:	Should Validate the user and check his existence in database
ACTUAL RESULTS:	Validate the user and checking the user against the database
LOW PRIORITY	No
HIGH PRIORITY	Yes

Table 7.1 Test case for Login form

Test case2:**Test case for User Registration form:**

FUNCTION:	USER REGISTRATION
EXPECTED RESULTS:	Should check if all the fields are filled by the user and saving the user to database.
ACTUAL RESULTS:	Checking whether all the fields are field by user or not through validations and saving user.
LOW PRIORITY	No
HIGH PRIORITY	Yes

Table 7.2 Test case for User Registration form

Test case3:**Test case for Change Password:**

When the old password does not match with the new password ,then this results in displaying an error message as “ OLD PASSWORD DOES NOT MATCH WITH THE NEW PASSWORD”.

FUNCTION:	Change Password
EXPECTED RESULTS:	Should check if old password and new password fields are filled by the user and saving the user to database.
ACTUAL RESULTS:	Checking whether all the fields are field by user or not through validations and saving user.
LOW PRIORITY	No
HIGH PRIORITY	Yes

Table 7.3 Test case for Change Password

CHAPTER 8

OUTPUT SCREENS

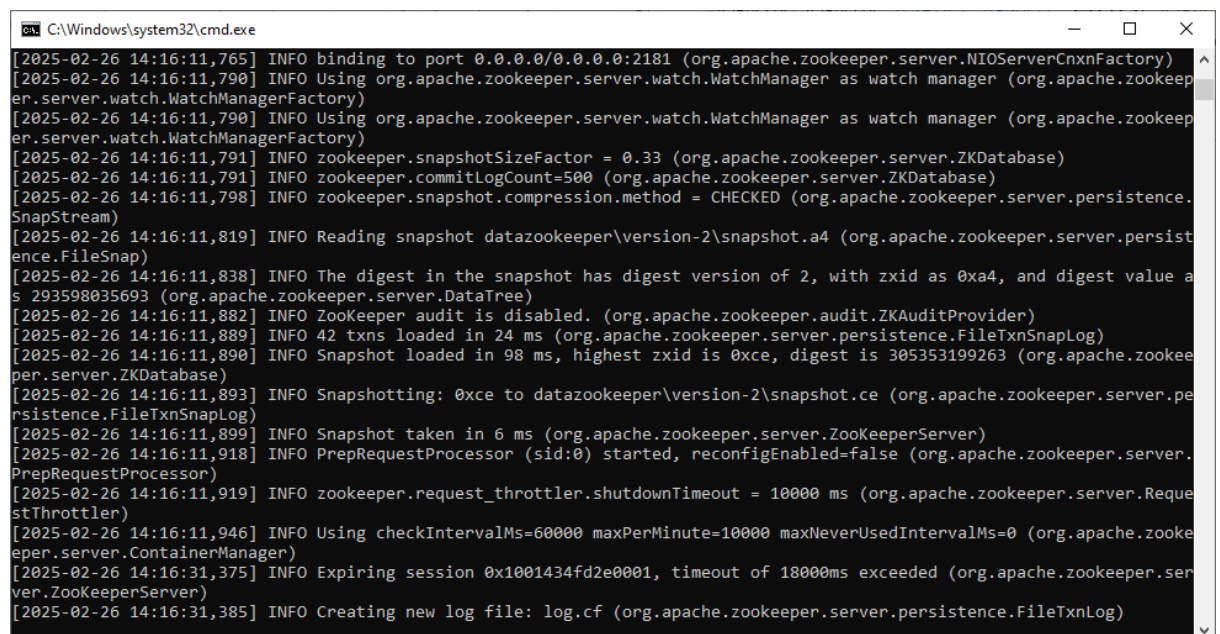
SCREEN SHOTS

Real Time Bank Transaction Fraud Detection using Kafka & ML

In propose work we are utilizing Apache Kafka streaming technology to stream bank data and then ML algorithm will receive bank stream data and then predict weather bank data is normal or contains fraud transaction.

Kafka streaming consists of Producer and Consumer where producer will produce data on particular topic and then consumer will continuously tries to look for incoming stream data and then consume data and then pass to ML algorithm for prediction.

To setup Kafka you need to install java 1.8 and then set java home and path in environment variables. Now copy and paste 'kafka' folder in your system E directory and then double click on 'runZookeeper.bat' file from 'kafka' folder to get below page



```
C:\Windows\system32\cmd.exe
[2025-02-26 14:16:11,765] INFO binding to port 0.0.0.0/0.0.0.0:2181 (org.apache.zookeeper.server.NIOServerCnxnFactory)
[2025-02-26 14:16:11,790] INFO Using org.apache.zookeeper.server.watch.WatchManager as watch manager (org.apache.zookeeper.server.watch.WatchManagerFactory)
[2025-02-26 14:16:11,790] INFO Using org.apache.zookeeper.server.watch.WatchManager as watch manager (org.apache.zookeeper.server.watch.WatchManagerFactory)
[2025-02-26 14:16:11,791] INFO zookeeper.snapshotSizeFactor = 0.33 (org.apache.zookeeper.server.ZKDatabase)
[2025-02-26 14:16:11,791] INFO zookeeper.commitLogCount=500 (org.apache.zookeeper.server.ZKDatabase)
[2025-02-26 14:16:11,798] INFO zookeeper.snapshot.compression.method = CHECKED (org.apache.zookeeper.server.persistence.SnapStream)
[2025-02-26 14:16:11,819] INFO Reading snapshot datazookeeper\version-2\snapshot.a4 (org.apache.zookeeper.server.persistence.FileSnap)
[2025-02-26 14:16:11,838] INFO The digest in the snapshot has digest version of 2, with zxid as 0xa4, and digest value as 293598035693 (org.apache.zookeeper.server.DataTree)
[2025-02-26 14:16:11,882] INFO ZooKeeper audit is disabled. (org.apache.zookeeper.audit.ZKAuditProvider)
[2025-02-26 14:16:11,889] INFO 42 txns loaded in 24 ms (org.apache.zookeeper.server.persistence.FileTxnSnapLog)
[2025-02-26 14:16:11,890] INFO Snapshot loaded in 98 ms, highest zxid is 0xcce, digest is 305353199263 (org.apache.zookeeper.server.ZKDatabase)
[2025-02-26 14:16:11,893] INFO Snapshotting: 0xcce to datazookeeper\version-2\snapshot.ce (org.apache.zookeeper.server.persistence.FileTxnSnapLog)
[2025-02-26 14:16:11,899] INFO Snapshot taken in 6 ms (org.apache.zookeeper.server.ZooKeeperServer)
[2025-02-26 14:16:11,918] INFO PrepRequestProcessor (sid:0) started, reconfigEnabled=false (org.apache.zookeeper.server.PrepRequestProcessor)
[2025-02-26 14:16:11,919] INFO zookeeper.request_throttler.shutdownTimeout = 10000 ms (org.apache.zookeeper.server.RequestThrottler)
[2025-02-26 14:16:11,946] INFO Using checkIntervalMs=60000 maxPerMinute=10000 maxNeverUsedIntervalMs=0 (org.apache.zookeeper.server.ContainerManager)
[2025-02-26 14:16:31,375] INFO Expiring session 0x1001434fd2e0001, timeout of 18000ms exceeded (org.apache.zookeeper.server.ZooKeeperServer)
[2025-02-26 14:16:31,385] INFO Creating new log file: log.cf (org.apache.zookeeper.server.persistence.FileTxnLog)
```

Fig 8.1 'runKafka.bat'

In above screen Zookeeper server started and now double click on 'runKafka.bat' file to start Kafka server and then will get below page

```
C:\Windows\system32\cmd.exe
umer_offsets-20 in 84 milliseconds for epoch 0, of which 83 milliseconds was spent in the scheduler. (kafka.coordinator.
group.GroupMetadataManager)
[2025-02-26 14:17:53,387] INFO [GroupMetadataManager brokerId=0] Finished loading offsets and group metadata from __cons
umer_offsets-27 in 83 milliseconds for epoch 0, of which 82 milliseconds was spent in the scheduler. (kafka.coordinator.
group.GroupMetadataManager)
[2025-02-26 14:17:53,392] INFO [GroupMetadataManager brokerId=0] Finished loading offsets and group metadata from __cons
umer_offsets-42 in 87 milliseconds for epoch 0, of which 86 milliseconds was spent in the scheduler. (kafka.coordinator.
group.GroupMetadataManager)
[2025-02-26 14:17:53,393] INFO [GroupMetadataManager brokerId=0] Finished loading offsets and group metadata from __cons
umer_offsets-12 in 83 milliseconds for epoch 0, of which 82 milliseconds was spent in the scheduler. (kafka.coordinator.
group.GroupMetadataManager)
[2025-02-26 14:17:53,394] INFO [GroupMetadataManager brokerId=0] Finished loading offsets and group metadata from __cons
umer_offsets-21 in 82 milliseconds for epoch 0, of which 81 milliseconds was spent in the scheduler. (kafka.coordinator.
group.GroupMetadataManager)
[2025-02-26 14:17:53,396] INFO [GroupMetadataManager brokerId=0] Finished loading offsets and group metadata from __cons
umer_offsets-36 in 83 milliseconds for epoch 0, of which 83 milliseconds was spent in the scheduler. (kafka.coordinator.
group.GroupMetadataManager)
[2025-02-26 14:17:53,398] INFO [GroupMetadataManager brokerId=0] Finished loading offsets and group metadata from __cons
umer_offsets-6 in 83 milliseconds for epoch 0, of which 82 milliseconds was spent in the scheduler. (kafka.coordinator.g
roup.GroupMetadataManager)
[2025-02-26 14:17:53,399] INFO [GroupMetadataManager brokerId=0] Finished loading offsets and group metadata from __cons
umer_offsets-43 in 83 milliseconds for epoch 0, of which 82 milliseconds was spent in the scheduler. (kafka.coordinator.
group.GroupMetadataManager)
[2025-02-26 14:17:53,399] INFO [GroupMetadataManager brokerId=0] Finished loading offsets and group metadata from __cons
umer_offsets-13 in 82 milliseconds for epoch 0, of which 82 milliseconds was spent in the scheduler. (kafka.coordinator.
group.GroupMetadataManager)
[2025-02-26 14:17:53,400] INFO [GroupMetadataManager brokerId=0] Finished loading offsets and group metadata from __cons
umer_offsets-28 in 81 milliseconds for epoch 0, of which 81 milliseconds was spent in the scheduler. (kafka.coordinator.
group.GroupMetadataManager)
```

Fig 8.2 ‘runJupyter.bat’

In above screen Kafka server started and now double click on ‘runJupyter.bat’ file to start JUPYTER notebook for ML training and then will get below page

The screenshot shows a Jupyter Notebook titled 'FraudDetection' running on a local host. The notebook contains two input cells. The first cell, 'In [1]:', contains code to import various Python libraries including confluent_kafka, pandas, numpy, sklearn, and metrics. The second cell, 'In [2]:', contains code to load a CSV dataset from 'Dataset/BankingTransactionDataSet.csv'. The output of the second cell, 'Out[2]:', displays the first row of the dataset as a table.

transaction_id	sender_account_id	recipient_account_id	amount	payment_mode	timestamp	sender_location	recipient_location	device_fingerprint	transac
0	T12345	SBIN00001	SBIN00010	4500.75	UPI	01-01-2025 08:15	Maharashtra	Karnataka	DF001

Fig 8.3 loading required package and classes

In above screen loading required package and classes

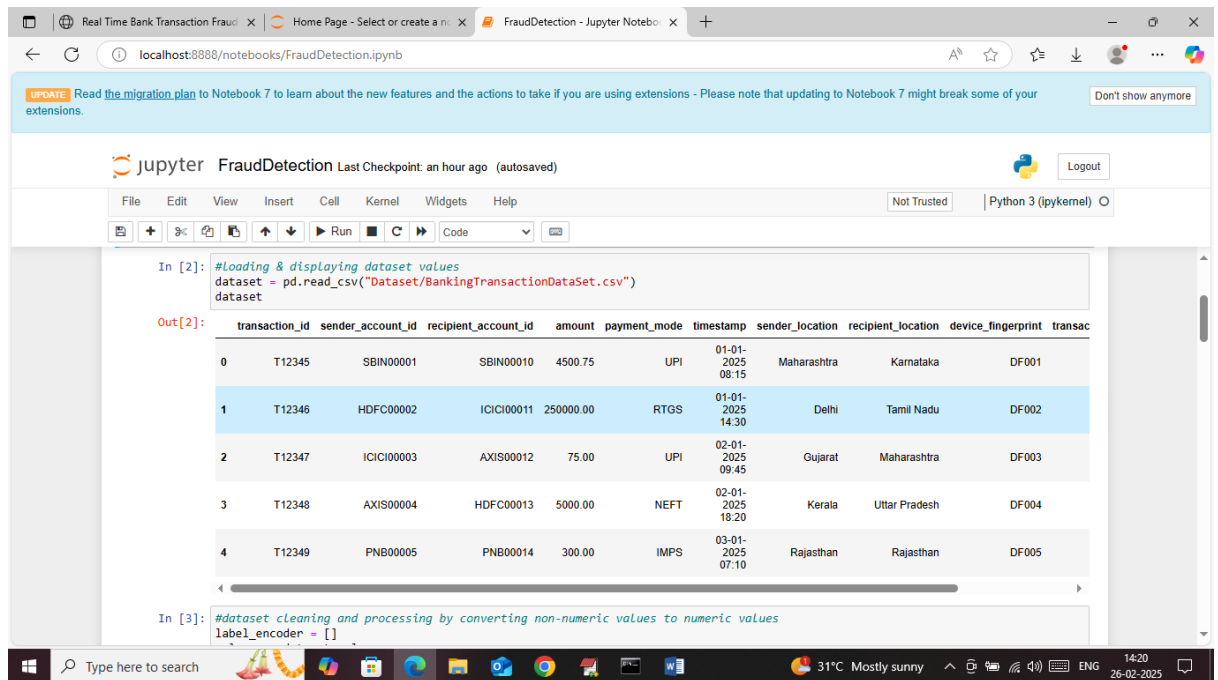


Fig 8.4 screen loading and displaying your transaction dataset

In above screen loading and displaying your transaction dataset and this dataset contains both numeric and non-numeric data but ML algorithm accept only numeric data so by employing dataset processing technique can convert non-numeric data to numeric data and then will get below page

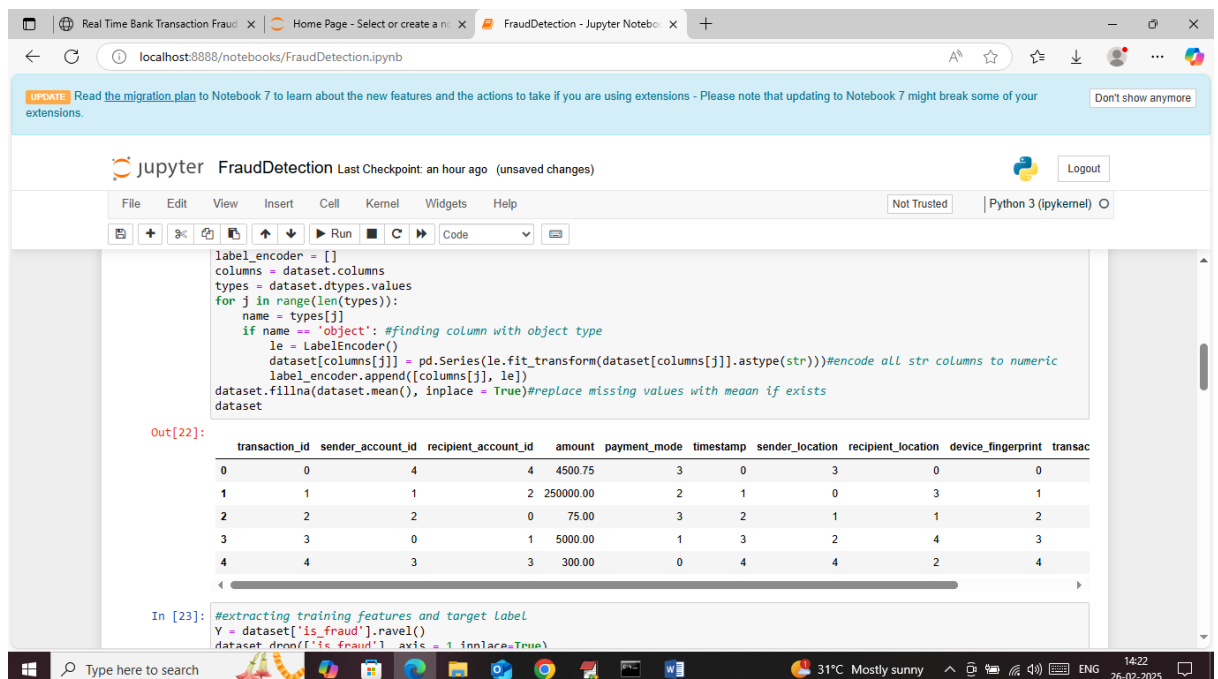


Fig 8.5 entire data converted to numeric format

In above screen entire data converted to numeric format

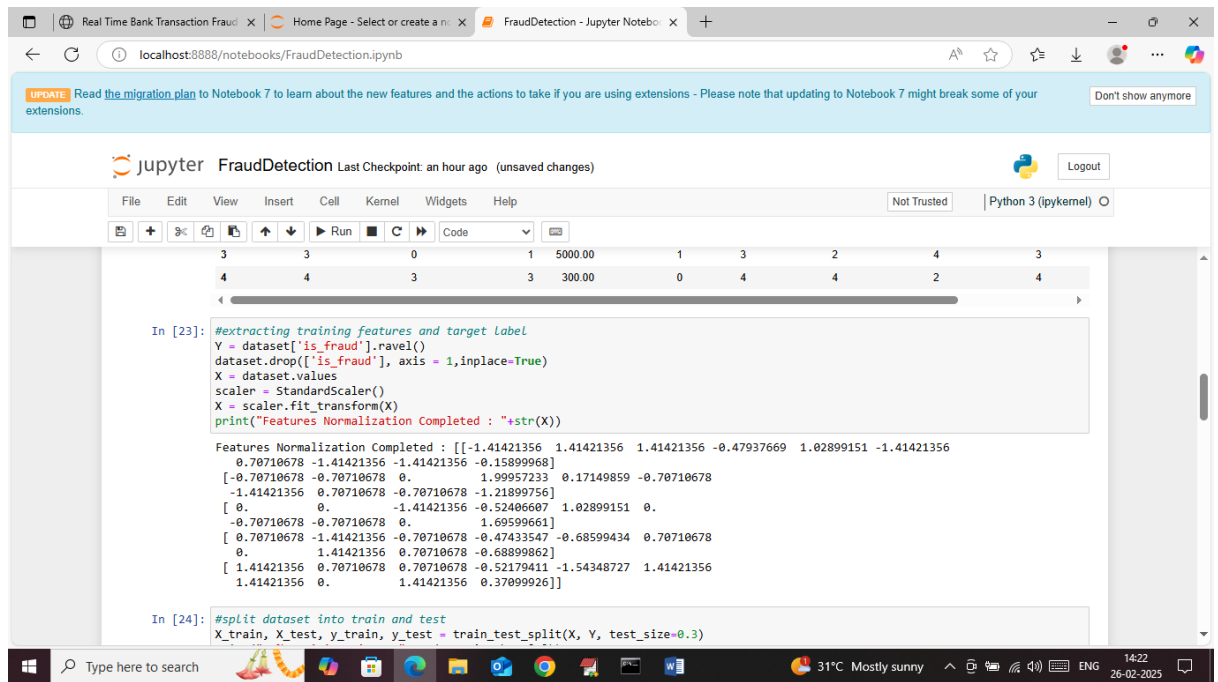


Fig 8.6 extracting dataset features and target values

In above screen extracting dataset features and target values and then normalizing and displaying dataset features

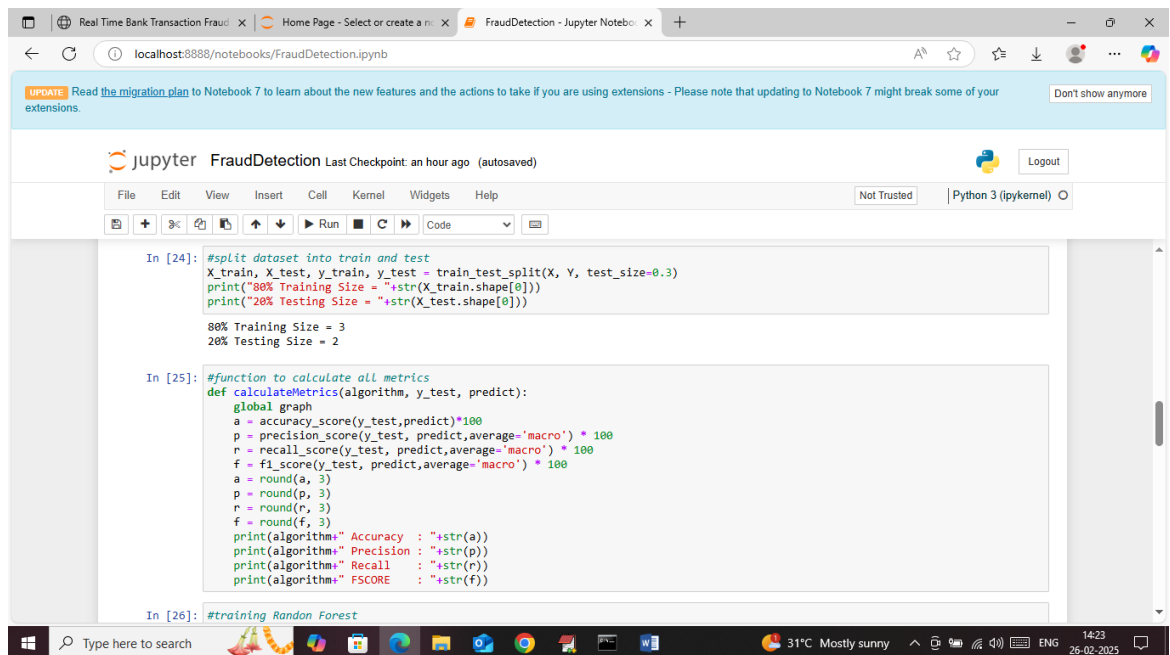


Fig 8.7 splitting dataset into train

In above screen splitting dataset into train and test and then defining function to calculate accuracy and other metrics. In your dataset having only 5 records so application using 70% records for training and 30% for testing


```

r = round(r, 3)
f = round(f, 3)
print(algorithm+" Accuracy : "+str(a))
print(algorithm+" Precision : "+str(p))
print(algorithm+" Recall : "+str(r))
print(algorithm+" FSCORE : "+str(f))

In [26]: #training Random Forest
rf = RandomForestClassifier()
rf.fit(X_train, y_train)
#performing prediction on test data
predict = rf.predict(X_test)
#call this function to calculate accuracy and other metrics
calculateMetrics("Random Forest", y_test, predict)

Random Forest Accuracy : 50.0
Random Forest Precision : 25.0
Random Forest Recall : 50.0
Random Forest FSCORE : 33.333

c:\users\admin\appdata\local\programs\python\python37\lib\site-packages\sklearn\metrics\_classification.py:1318: UndefinedMetricWarning: Precision is ill-defined and being set to 0.0 in labels with no predicted samples. Use 'zero_division' parameter to control this behavior.
  _warn_prf(average, modifier, msg_start, len(result))

In [ ]: #kafka producer to send stream

```

Fig 8.8 training Random Forest algorithm on training features

In above screen training Random Forest algorithm on training features and then performing prediction on test data and then Random Forest got 50% accuracy on get 5 transaction. If we have large dataset then will get high accuracy

```

In [ ]: #kafka producer to send stream
def delivery_report(err, msg):
    if err is not None:
        print(f'Message delivery failed: {err}')
    else:
        print(f'Message delivered to {msg.topic()} [{msg.partition()}]')

#creating producer
p = Producer({'bootstrap.servers': 'localhost:9092'})
#loading dataset
dataset = pd.read_csv("Dataset/BankingTransactionDataSet.csv")
dataset = dataset.values
#producer publishing dataset topics to bank transaction
for i in range(len(dataset)):
    data = ""
    for j in range(len(dataset[i])):
        data += str(dataset[i,j])+"#"
    if len(data) > 0:
        data = data[0:len(data)-1]
    p.produce('BankTransaction', data, callback=delivery_report)
    p.flush()
p.produce('BankTransaction', "exit", callback=delivery_report)
p.flush()

In [8]: def consume():
    role = f'transaction id' 'sender account id' 'recipient account id' 'amount' 'payment mode' 'timestamp' 'sender location'

```

Fig 8.9 defining Kafka function to produce or publish dataset values to Kafka

In above screen defining Kafka function to produce or publish dataset values to Kafka

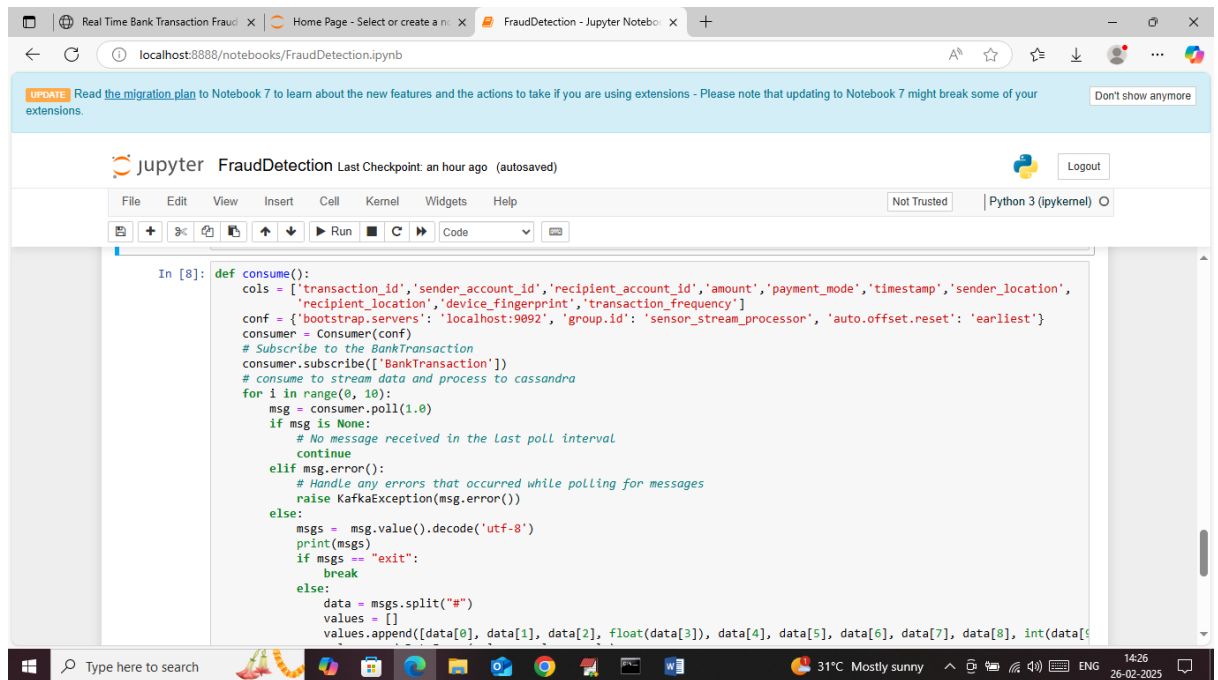


Fig 8.10 screen consume function will read data and then input to ML algorithm

In above screen consume function will read data and then input to ML algorithm for fraud transaction prediction. In above screen we have trained and make Kafka producer and consumer.

Now double click on 'runWeb.bat' file to start web server and then will get below page

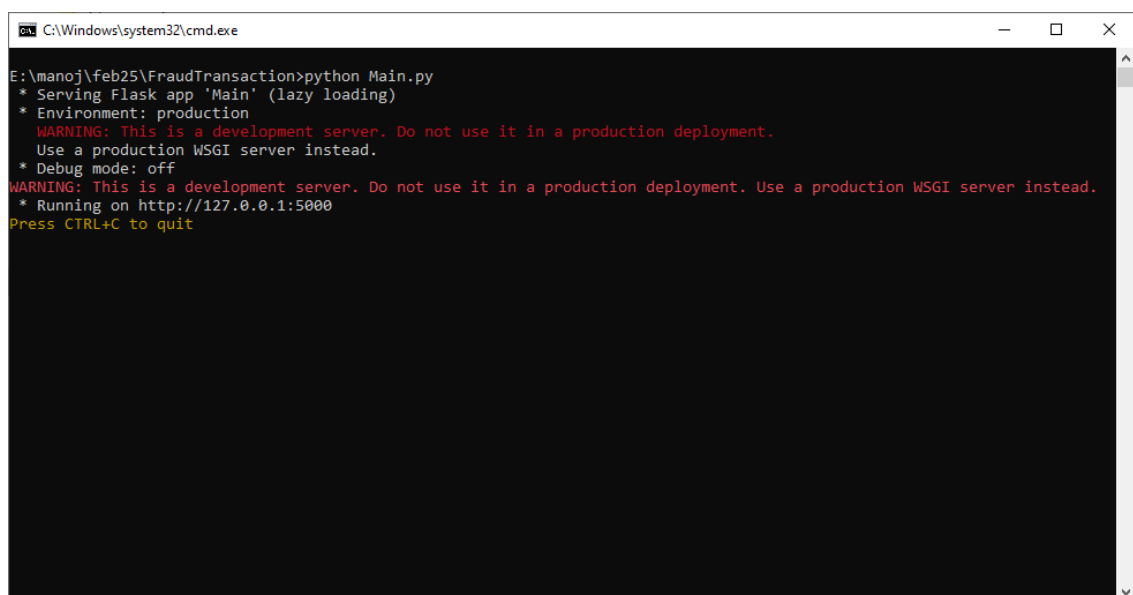


Fig 8.11 python flask webserver started

In above screen python flask webserver started and now open browser and enter URL as <http://127.0.0.1:5000/index> and then press enter key to get below page

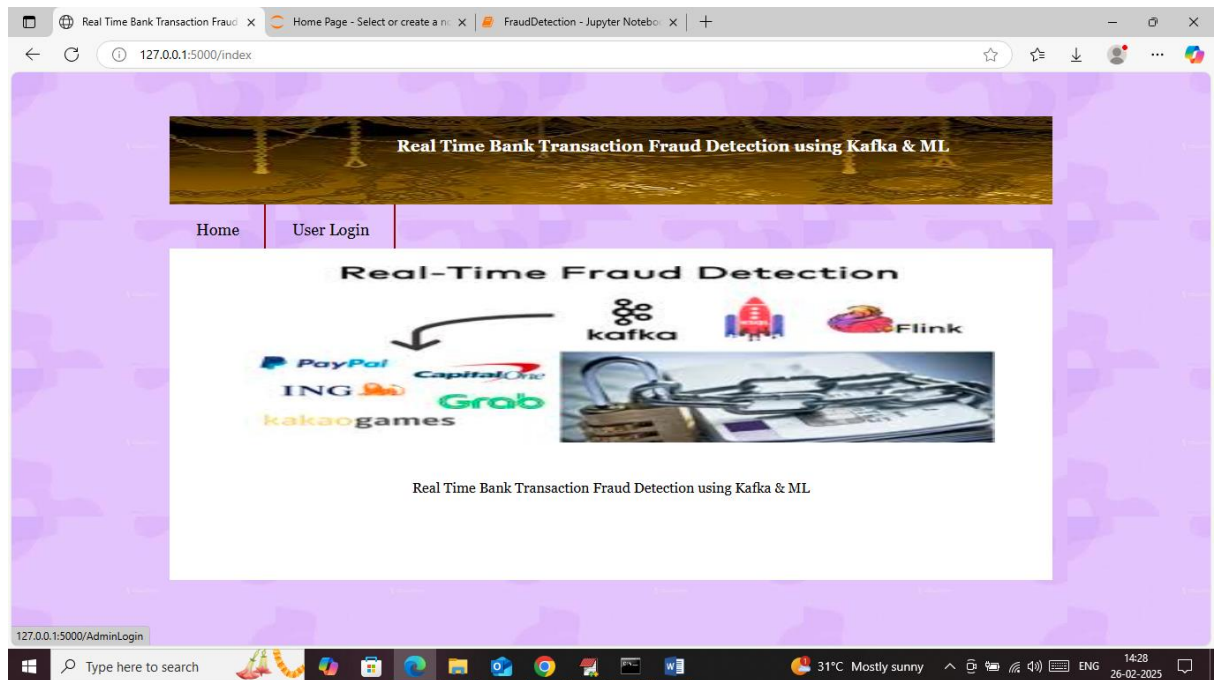


Fig 8.12 ‘User Login’

In above screen click on ‘User Login’ link to get below page

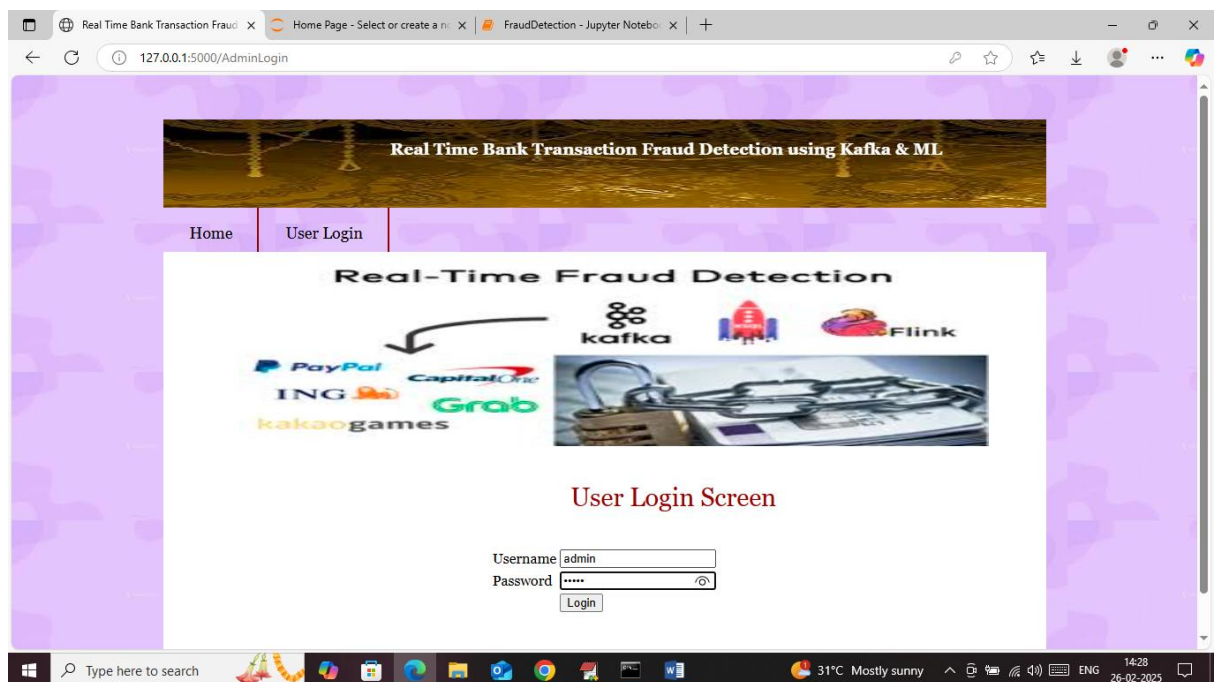


Fig 8.13 user login by giving username and password as ‘admin and admin’

In above screen user login by giving username and password as ‘admin and admin’ and then press enter key to get below page

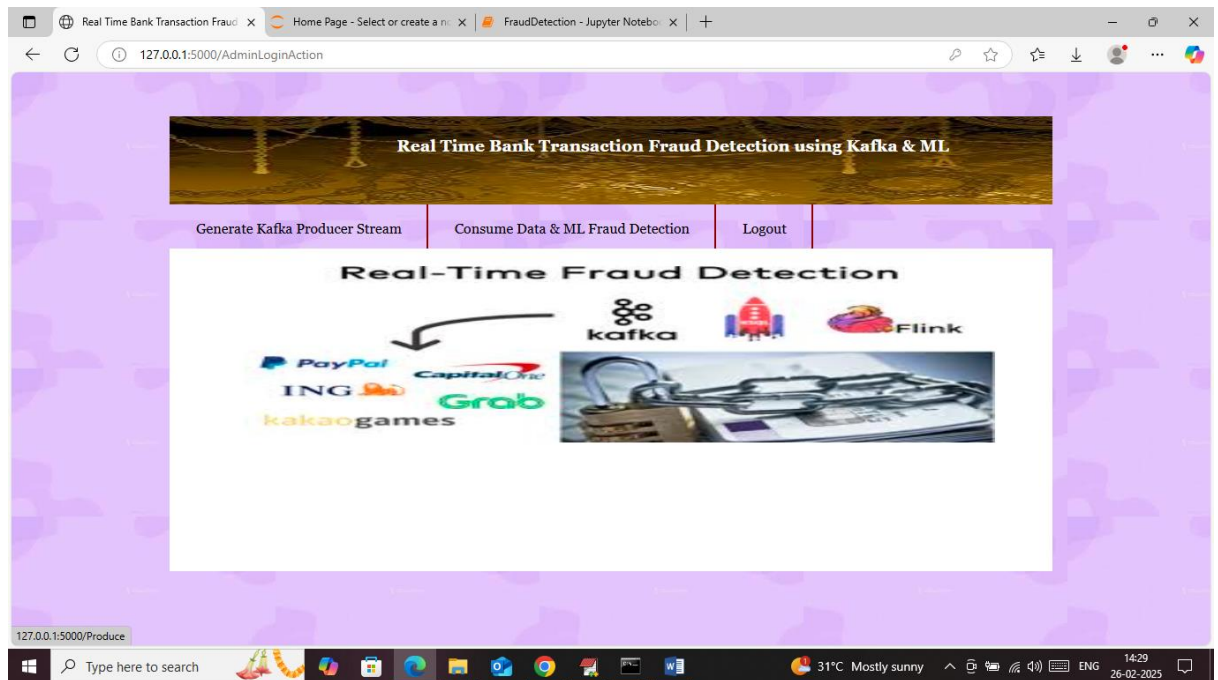


Fig 8.14 user can click on ‘Generate Kafka Producer Stream’

In above screen user can click on ‘Generate Kafka Producer Stream’ link to publish data to Kafka and then will get below page

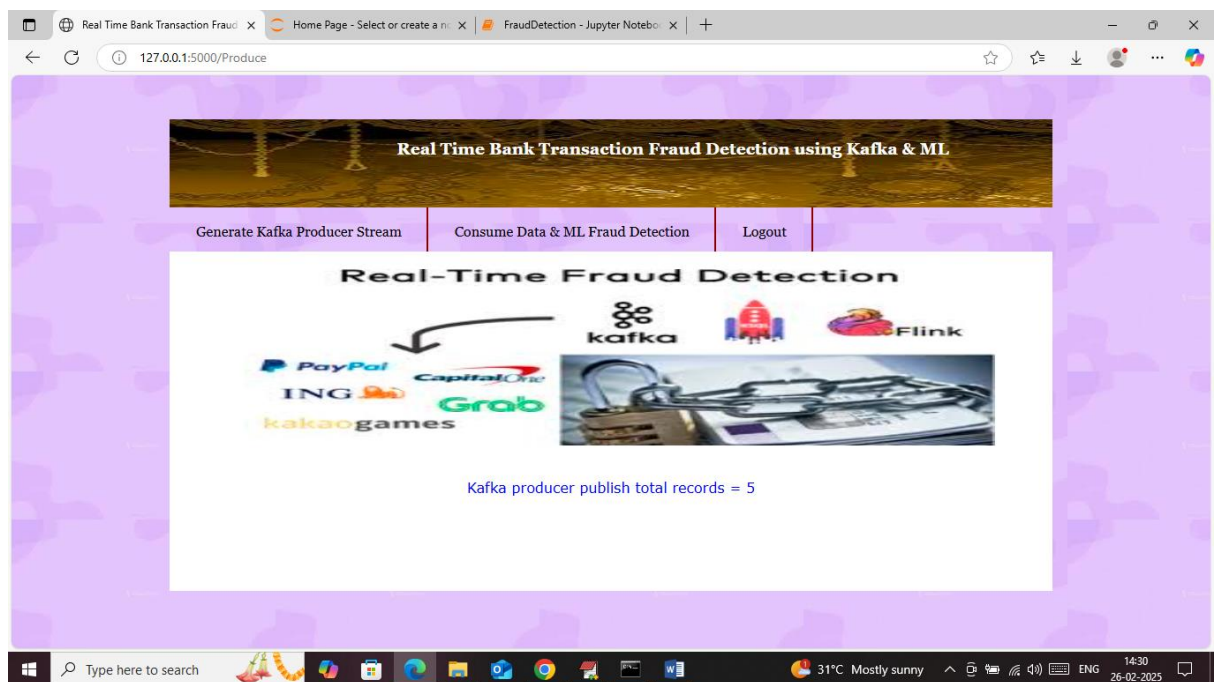


Fig 8.15 Kafka publish total 5 streams as transactions records

In above screen can see Kafka publish total 5 streams as transactions records and now click on ‘Consume Data & Fraud Detection’ link to consume publish data and then input to ML algorithm to predict transaction type

transaction_id	sender_account_id	recipient_account_id	amount	payment_mode	timestamp	sender_location	recipient_location
T12345	SBIN00001	SBIN00010	4500.75	UPI	01-01-2025 08:15	Maharashtra	Karnataka
T12346	HDFC00002	ICICI00011	250000.0	RTGS	01-01-2025 14:30	Delhi	Tamil Nadu
T12347	ICICI00003	AXIS00012	75.0	UPI	02-01-2025 09:45	Gujarat	Maharashtra
T12348	AXIS00004	HDFC00013	5000.0	NEFT	02-01-2025 18:20	Kerala	Uttar Pradesh
T12349	PNB00005	PNB00014	300.0	IMPS	03-01-2025 07:10	Rajasthan	Rajasthan

Fig 8.16 Kafka consumer receive all records

In above screen Kafka consumer receive all records and just scroll to right to view ML predicted output

id	recipient_account_id	amount	payment_mode	timestamp	sender_location	recipient_location	device_fingerprint	transaction_frequency	Predicted Status
	SBIN00010	4500.75	UPI	01-01-2025 08:15	Maharashtra	Karnataka	DF001	5	Normal
	ICICI00011	250000.0	RTGS	01-01-2025 14:30	Delhi	Tamil Nadu	DF002	1	Fraud
	AXIS00012	75.0	UPI	02-01-2025 09:45	Gujarat	Maharashtra	DF003	12	Normal
	HDFC00013	5000.0	NEFT	02-01-2025 18:20	Kerala	Uttar Pradesh	DF004	3	Fraud
	PNB00014	300.0	IMPS	03-01-2025 07:10	Rajasthan	Rajasthan	DF005	7	Normal

Fig 8.17 column ML predicted some records as 'Normal' and some as 'Fraud'.

In above screen in last column ML predicted some records as 'Normal' and some as 'Fraud'.

So in above project we used JUPYTER to load and train dataset and then setup Kafka modules and then using WEB we can produce, consume and then perform prediction.

CHAPTER 9

CONCLUSION

CONCLUSION:

This project demonstrates the design and implementation of a real-time bank transaction fraud detection system that effectively combines the power of Apache Kafka's streaming platform with advanced machine learning techniques. By leveraging Kafka's high-throughput and low-latency data processing capabilities, the system is able to ingest and analyze massive streams of transaction data continuously, enabling immediate identification of potentially fraudulent activities.

The integration of machine learning models allows for dynamic and accurate classification of transactions based on evolving behavioral patterns and transaction characteristics. This adaptability significantly improves detection accuracy while minimizing false positives, which is critical for maintaining customer trust and operational efficiency. The system's scalable and fault-tolerant architecture ensures robust performance even under heavy transaction loads, making it suitable for real-world banking environments.

Additionally, the implementation of a real-time alerting mechanism and monitoring dashboard provides banking authorities with timely insights and actionable information, enhancing their ability to respond quickly to threats. Security considerations such as data encryption and access control further strengthen the system's reliability and compliance with regulatory standards.

Overall, this project highlights the importance of integrating real-time streaming technologies with intelligent analytics to address the increasing challenges of financial fraud. The proposed solution not only enhances the security infrastructure of banking institutions but also sets a foundation for future advancements in proactive fraud prevention.

CHAPTER 10

FUTURE SCOPE

FUTURE SCOPE:

While the current system provides a strong foundation for real-time fraud detection, there are several areas for future enhancement to further improve performance and adaptability. One promising direction is the integration of advanced deep learning models, such as recurrent neural networks (RNNs) and transformers, which can capture complex sequential patterns in transaction data and improve detection accuracy, especially for sophisticated fraud schemes.

Another area of future work involves implementing online learning or incremental learning techniques that allow the machine learning models to update continuously as new data arrives. This would enable the system to adapt more rapidly to emerging fraud tactics without requiring periodic retraining on large historical datasets.

Expanding the system to incorporate multi-source data, such as customer device information, geolocation data, and social network analysis, could provide richer context for fraud detection. This holistic approach can help in identifying subtle anomalies that are otherwise difficult to detect using transaction data alone.

Improving the alerting mechanism with automated response capabilities, such as temporarily freezing suspicious accounts or requiring additional authentication, would enhance the system's ability to prevent fraud proactively. Integration with blockchain technology could also be explored to improve transparency and tamper-resistance of transaction records.

Lastly, further optimization of the system's infrastructure for better scalability and reduced latency using container orchestration tools like Kubernetes and leveraging edge computing for localized fraud detection are potential avenues for enhancing system robustness and deployment flexibility.

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